

SEC Hot Topics – MD&A and Non-GAAP Financial Measures

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SEC Hot Topics – MD&A and Non-GAAP Financial Measures

Course Overview

This course provides an overview of two of the most popular SEC topics which result in comment letters from the SEC. This includes a discussion of management's discussion and analysis (MD&A) as well as Non-GAAP Financial Measures. These two areas consistently rank in the Top 10 for the most frequent comment letters issued to public companies by the SEC.

Chapter 1 – Management’s Discussion & Analysis

This chapter provides an overview of the rules and regulations with respect to management’s discussion and analysis (MD&A). This chapter also provides interpretive guidance from the SEC as well as important observations from several of the Big 4 accounting firms.

Chapter Learning Objectives

Upon completion of this chapter, you will be able to:

- Identify the SEC Regulation applicable to MD&A
- Recognize the primary objective and focus areas related to MD&A
- Identify key information that should be included within a company’s MD&A
- Recognize the types of transactions that should be discussed in MD&A
- Identify methods to enhance the presentation of MD&A

Introduction

If you’ve perused some Form 10-Qs and 10-Ks recently, you likely know that one of the largest sections included within these filings is the section titled “Management’s Discussion and Analysis of Financial Condition and Results of Operations”, or simply MD&A for short. Consequently, this is also the area of a company’s consolidated financial statements which often receives a significant amount of the attention by the SEC. In fact, in several of the Big 4 accounting firms recent (and historical) SEC Comment Letter trend publications, the topic of MD&A has consistently ranked in the Top 10 area for SEC comments. For example, in PwC’s “SEC Comment Letter Trends” publication published on March 28, 2022, the firm notes that MD&A was #2 on the list of the Top 10 most frequent comment letters. Similarly, in EY’s publication “SEC Reporting Update - Highlights of Trends in 2021 SEC Comment Letters”, the firm also notes that MD&A was #2 on the Top 10 list. While this ranking has moved up or down in the past, the MD&A topic has consistently been included in the Top 10. Chapter 2 of this course will focus on non-GAAP financial measures, which is another top area the SEC gets involved in routinely.

Given the importance of this area within a company’s consolidated financial statements, it’s important to have a clear understanding of the rules and regulations with respect to this area. To that end, this chapter provides a detailed overview of the SEC requirements along with other interpretations and best practices offered up by the SEC. This chapter also includes comment letter examples included within several of the Big 4 accounting firm’s comment letter analysis publications.

Where Do I Go For Guidance?

Knowing where to look for guidance on MD&A requirements is the first step in the process of better understanding this important area of a company’s consolidated financial statements. If you navigate to the actual Form 10-Q and Form 10-K instructions you’ll note that both Forms will direct you to Item 303 of Regulation S-K. More specifically, Part I, Item 2 of the 10-Q and Part II, Item 7, of the 10-K will direct you to Item 303.

Item 303 is filled with several pages of guidance which lays out the information that should be included within the MD&A section. Additionally, the guidance also provides information on some of the objectives with respect to these areas and what disclosure is seeking to accomplish. In addition to the guidance included in Item 303, there is also significant interpretive guidance provided by the SEC. Additionally, you can also find additional best practices outlined within several of the Big 4 accounting firms publications.

Objective of MD&A

Before we get too deep into the actual guidance outlined in Item 303, it's important to first understand the overall objective of MD&A, and what the primary purpose is for including it in a company's 10-Q and 10-K. As noted in the objective section of Item 303, the objective of MD&A is to do the following:

- Provide material information relevant to an assessment of the financial condition and results of operations of an entity including:
 - An evaluation of the amounts; and
 - Certainty of cash flows from operations and from outside sources

The SEC further notes in Item 303 that MD&A should focus specifically on “...**material events** and **uncertainties** known to management that are **reasonably likely** to cause reported financial information not to be necessarily indicative of future operating results or of future financial condition.” In other words, the expectation here is to provide additional context that cannot already be inferred by an investor looking at the consolidated financial statements of a company. In doing this, entities should include descriptions and amounts of matters that have had a material impact on reported operations, as well as matters that are reasonably likely based on management's assessment to have a material impact on future operations.

Overall, the SEC notes that MD&A must be “...of the financial statements and other statistical data that the registrant believes will **enhance a reader's understanding** of the registrant's financial condition, cash flows and other changes in financial condition and results of operations.” In other words, MD&A should be viewed as an additional supplement to provide key information to investors which, again, they cannot readily ascertain from the other parts of the consolidated financial statements. Said another way, the SEC notes that by including MD&A, it is expected to allow investors to “...view the entity from management's perspective.”

In the SEC's interpretation “Commission Guidance Regarding Management's Discussion and Analysis of Financial Condition and Results of Operations” ([link](#)), the SEC provides additional context with respect to the primary objectives of MD&A. In it, the SEC notes that “...the purpose of MD&A is not complicated. It is to provide readers information necessary to an understanding of a company's financial condition, changes in financial condition and results of operations.” In its interpretation, the SEC outlines the following three principal objectives:

- Provide a narrative explanation of a company's financial statements that enables investors to see the company through the eyes of management
- Enhance the overall financial disclosure and provide the context within which financial information should be analyzed
- Provide information about the quality of, and potential variability of, a company's earnings and cash flow, so that investors can ascertain the likelihood that past performance is indicative of future performance

Refer to the following Exhibit which provides some additional comments from the SEC with respect to the purpose of and presentation of MD&A.

Exhibit 1-1: Commission Guidance Regarding Management's Discussion and Analysis of Financial Condition and Results of Operations

(III) Overall Approach to MD&A

A. The Presentation of MD&A

Since the introduction of our MD&A requirements, many companies have become larger, more global and more complex. At the same time, the combination of our rules and investors' demands have led to an increase in the number of subjects and matters addressed in MD&A. For these and other reasons, many companies' MD&A have become necessarily lengthy and complex. Unfortunately, the presentation of the MD&A of too many companies also may have become unnecessarily lengthy, difficult to understand and confusing.

MD&A, like other disclosure, should be presented in clear and understandable language. We understand that complex companies and situations require disclosure of complex matters and we are not in any way seeking over-simplification or "dumbing down" of MD&A. However, we believe that companies can improve the clarity and understandability of their MD&A by using language that is clearer and less convoluted. We believe that efforts by companies to provide clearer and better organized presentations of MD&A can result in more understandable disclosure that does not sacrifice the appropriate level of complexity or nuance. In order to engender better understanding, companies should prepare MD&A with a strong focus on the most important information, provided in a manner intended to address the objectives of MD&A.

Within its above referenced publication, the SEC further notes that they expect a "...good introduction or overview to provide a balanced, executive-level discussion that identifies the most important themes or other significant matters with which management is concerned primarily in evaluating the company's financial condition and operating results." Furthermore, the SEC notes that this "good introduction" would include the following information:

- Economic or industry-wide factors relevant to the company
- Informs readers about how the company earns revenues and income and generates cash
- Discusses a company's lines of business, location or locations of operations, and principal products and services
 - The SEC cautions here that it should not merely duplicate disclosure in the "Description of Business" section
- Provides insight into material opportunities, challenges and risks, such as those presented by known material trends and uncertainties, on which the company's executives are most focused for both the short and long term, as well as the actions they are taking to address these opportunities, challenges and risks.

In its interpretation, the SEC further notes the following:

"Because these matters do not generally remain static from period to period, we would expect the introduction to change over time to remain current. As is true with all sections of MD&A, boilerplate disclaimers and other generic language generally are not helpful in providing useful information or achieving balance, and would detract from the purpose of the introduction or overview."

Refer to the following Exhibit which provides some additional insight from the SEC with respect to the overall purpose and preparation of MD&A.

Exhibit 1-2: Commission Guidance Regarding Management's Discussion and Analysis of Financial Condition and Results of Operations

(III) Overall Approach to MD&A

A. The Presentation of MD&A

An introduction or overview, by its very nature, cannot disclose everything and should not be considered by itself in determining whether a company has made full disclosure. Further, the failure to include disclosure of every material item in an introduction or overview should not trigger automatically the application of the "buried facts" doctrine, in which a court would consider disclosure to be false and misleading if its overall significance is obscured because material is "buried," such as in a footnote or an appendix.

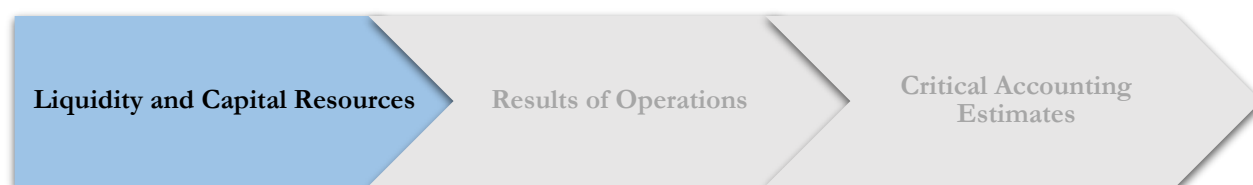
Throughout MD&A, including in an introduction or overview, discussion and analysis of financial condition and operating performance includes both past and prospective matters. In addressing prospective financial condition and operating performance, there are circumstances, particularly regarding known material trends and uncertainties, where forward-looking information is required to be disclosed. We also encourage companies to discuss prospective matters and include forward-looking information in circumstances where that information may not be required, but will provide useful material information for investors that promotes understanding.

Item 303 – Full Fiscal Year Requirements

Now that you know the overall objective of MD&A, as well as some of the main principles outlined by the SEC, let's next address more specifically some of the information that is required to be disclosed. There are several subsections included within Item 303. Additionally, you should note that there is guidance that is applicable to full fiscal years (i.e., to be included in a company's Form 10-K) as well as guidance that is applicable only to interim periods (i.e., to be included in a company's Form 10-Q).

In this first section of the chapter addressing the Item 303 requirements, we'll start with the full fiscal year requirements. In a later section of the chapter, we'll go over those requirements that are applicable only to interim periods. In an attempt to help illustrate application of the guidance (but not necessarily best practices per say), we'll include illustrative examples from SEC filers along the way.

Item 303 – Liquidity and Capital Resources



We'll use the above roadmap to help illustrate the three key areas within Item 303 for full fiscal year filings. In this section addressing liquidity and capital resources, as well as the subsequent ones addressing results of operations and critical accounting estimates, we'll present the actual text from the SEC guidance and then discuss that guidance in additional detail.

Refer to the following Exhibit which includes the SEC guidance related to liquidity and capital resources.

Exhibit 1-3: § 229.303 (Item 303)(b)(1) – Liquidity and Capital Resources

(1) Liquidity and capital resources. Analyze the registrant's ability to generate and obtain adequate amounts of cash to meet its requirements and its plans for cash in the short-term (i.e., the next 12 months from the most recent fiscal period end required to be presented) and separately in the long-term (i.e., beyond the next 12 months). The discussion should analyze material cash requirements from known contractual and other obligations. Such disclosures must specify the type of obligation and the relevant time period for the related cash requirements. As part of this analysis, provide the information in paragraphs (b)(1)(i) and (ii) of this section.

(i) Liquidity. Identify any known trends or any known demands, commitments, events or uncertainties that will result in or that are reasonably likely to result in the registrant's liquidity increasing or decreasing in any material way. If a material deficiency is identified, indicate the course of action that the registrant has taken or proposes to take to remedy the deficiency. Also identify and separately describe internal and external sources of liquidity, and briefly discuss any material unused sources of liquid assets.

(ii) Capital resources.

(A) Describe the registrant's material cash requirements, including commitments for capital expenditures, as of the end of the latest fiscal period, the anticipated source of funds needed to satisfy such cash requirements and the general purpose of such requirements.

(B) Describe any known material trends, favorable or unfavorable, in the registrant's capital resources. Indicate any reasonably likely material changes in the mix and relative cost of such resources. The discussion must consider changes among equity, debt, and any off-balance sheet financing arrangements.

As you'll note from the guidance above, the primary goal of the liquidity and capital resources section is to provide additional information and context related to a company's ability to meet its short-term obligations as well as a company's plans for using cash (both in the short and long-term). Specifically, the guidance requires that companies discuss known contractual obligations in this section.

Liquidity

In its most basic form, liquidity refers a company's ability to convert an asset or a security into cash. In other words, how quickly can an asset be bought or sold and turned into cash by the owner of that asset. At the risk of stating the obvious, having liquidity is generally preferred as opposed to having more value tied up in those types of assets that aren't as readily convertible into cash.

Cash Requirements

The topic of cash, and more specifically, cash requirements, is an area that is further explored within the previous SEC interpretive guidance. In it, the SEC notes that in order to identify known material cash requirements, companies should consider whether the following information would have a **material impact** on liquidity:

- Funds necessary to
 - Maintain current operations
 - Complete projects underway
 - Achieve stated objectives or plans
- Commitments for capital or other expenditures
- The reasonably likely exposure to future cash requirements associated with known trends or uncertainties
 - Including an indication of the time periods of likely resolution

In its interpretive guidance, the SEC notes that "...one starting point for a company's discussion and analysis of cash requirements is the tabular disclosure of contractual obligations, supplemented with additional information that is material to an understanding of the company's cash requirements." Refer to the following Exhibit which further expands on this point.

Exhibit 1-4: Commission Guidance Regarding Management's Discussion and Analysis of Financial Condition and Results of Operations

(IV) Liquidity and Capital Resources

A. Cash Requirements

For example, if a company has incurred debt in material amounts, it should explain the reasons for incurring that debt and the use of the proceeds, and analyze how the incurrence of that debt fits into the overall business plan, in each case to the extent material. Where debt has been incurred for general working capital purposes, the anticipated amount and timing of working capital needs should be discussed, to the extent material.

Companies should address, where material, the difficulties involved in assessing the effect of the amount and timing of uncertain events, such as loss contingencies, on cash requirements and liquidity. Any such discussion should be specific to the circumstances and informative, and companies should avoid generic or boilerplate disclosure. In addition, because of these difficulties and uncertainties, companies should consider whether they need to make or change disclosure in connection with quarterly as well as annual reports.

As you'll note from the preceding Exhibit, the SEC notes that a company should explain the reasons for incurring debt and the use of the proceeds. As an example of how this disclosure objective is achieved, the SEC notes that debt may have been issued to fund the construction of a new plant, which will allow the company to expand its operations into a specific geographic area. Furthermore, the SEC notes that understanding this relationship as well as the expected commencement date of plant operations puts the cash requirement for the debt into an appropriate context to understand liquidity.

Sources and Uses of Cash

Another key focus area with respect to liquidity relates to the sources and uses of cash. However, this section of the MD&A should not simply give a description of the various inflows and outflows of cash (which would instead simply be found within the statement of cash flows). Recall the purposes of MD&A in general. It should reflect information that is not already evident based on an investors review of a company's consolidated financial statements. That said, an investor can generally understand how cash has been earned and used by looking at a company's statement of cash flows. Because of this, the SEC notes that MD&A should focus on the "...primary drivers of and other material factors necessary to an understanding of the company's cash flows and the indicative value of historical cash flows." The SEC further notes that "...in addition to explaining how the cash requirements identified in MD&A fit into a company's overall business plan, the company should focus on the resources available to satisfy those cash requirements." Refer to the following Exhibit which offers up some additional interpretive guidance from the SEC on this topic.

Exhibit 1-5: Commission Guidance Regarding Management's Discussion and Analysis of Financial Condition and Results of Operations

(IV) Liquidity and Capital Resources

B. Sources and Uses of Cash

Where there has been material variability in historical cash flows, MD&A should focus on the underlying reasons for the changes, as well as on their reasonably likely impact on future cash flows and cash management decisions. Even where reported amounts of cash provided and used by operations, investing activities or financing have been consistent, if the underlying sources of those cash flows have materially varied, analysis of that variability should be provided. The discussion and analysis of liquidity should focus on material changes in operating, investing and financing cash flows, as depicted in the statement of cash flows, and the reasons underlying those changes.

As you know, cash flows on a company's statement of cash flows are categorized as either cash flows from operating activities, cash flows from financing activities, or cash flows from investing activities. The accounting requirements with respect to the statement of cash flows is prescribed within ASC Topic No. 230. Like other ASC Topics, this topic includes a discussion of the objectives of the guidance, certain scope exceptions, a glossary, as well as presentation and disclosure matters.

Of particular interest in the MD&A guidance provided by the SEC is cash flows from operating activities. As a refresher, ASC Topic 230 provides specific examples of both inflows and outflows as it relates to operating activities. Examples of cash inflows (from the ASC Topic) as it relates to operating activities include the following:

- Cash receipts from returns on loans, other debt instruments of other entities, and equity securities—interest and dividends;
- Cash receipts from sales of goods or services, including receipts from collection or sale of accounts and both short- and long-term notes receivable from customers arising from those sales;
- All other cash receipts that do not stem from transactions defined as investing or financing activities, such as amounts received to settle lawsuits or certain proceeds of insurance settlements

On the other hand, the following transactions are examples of cash outflows as it relates to operating activities:

- Cash payments to acquire materials for manufacture or goods for resale, including principal payments on accounts and both short- and long-term notes payable to suppliers for those materials or goods;
- Cash payments to governments for taxes, duties, fines, and other fees or penalties;
 - This would include the cash that would have been paid for income taxes if increases in the value of equity instruments issued under share-based payment arrangements that are not

included in the cost of goods or services recognizable for financial reporting purposes also had not been deductible in determining taxable income;

- Cash payments to other suppliers and employees for other goods or services;
- Cash payment made to settle an asset retirement obligation;
- Cash payments to lenders and other creditors for interest;
- All other cash payments that do not stem from transactions defined as investing or financing activities, such as payments to settle lawsuits, cash contributions to charities, and cash refunds to customers;

Now that you have a good refresher on what are cash flows from operating activities, let's explore the guidance further on this topic. Take a look at the following Exhibit which provides some of the interpretive guidance provided by the SEC on this topic.

Exhibit 1-6: Commission Guidance Regarding Management's Discussion and Analysis of Financial Condition and Results of Operations

(IV) Liquidity and Capital Resources

B. Sources and Uses of Cash - I. Operations

The discussion and analysis of operating cash flows should not be limited by the manner of presentation in the statement of cash flows. Alternate accounting methods of deriving and presenting cash flows exist, and while they generally yield the same numeric result in the major captions, they involve the disclosure of different types of information. When preparing the discussion and analysis of operating cash flows, companies should address material changes in the underlying drivers (e.g. cash receipts from the sale of goods and services and cash payments to acquire materials for manufacture or goods for resale), rather than merely describe items identified on the face of the statement of cash flows, such as the reconciling items used in the indirect method of presenting cash flows.

For example, consider a company that reports an overall increase in the components of its working capital other than cash with the effect of having a material decrease in net cash provided by operations in the current period. If the increase in working capital was driven principally by an increase in accounts receivable that is attributable not to an increase in sales, but rather to a revised credit policy resulting in an extended payment period for customers, these facts would need to be addressed in MD&A to the extent material, along with the resulting decrease in cash provided by operations, if not otherwise apparent. In addition, if there is a material trend or uncertainty, the impact of the new credit policy on cash flows from operations should be disclosed. While a cash flow statement prepared using the indirect method would report that various individual components of working capital increased or decreased during the period by a specified amount, it would not provide a sufficient basis for a reader to analyze the change. If the company reports negative cash flows from operations, the disclosure provided in MD&A should identify clearly this condition, discuss the operational reasons for the condition if material, and explain how the company intends to meet its cash requirements and maintain operations. If the company relies on external financing in these situations, disclosure of that fact and the company's assessment of whether this financing will continue to be available, and on what terms, should be considered and may be required.

As you'll note from the Exhibit above, the key takeaway is that companies shouldn't limit their discussion in MD&A based on the presentation format within the statement of cash flows. Instead, companies should strive to address **material changes** in the **underlying drivers** instead of simply describing items identified included within the statement of cash flows.

Financing Considerations

Another important area the SEC expects appropriate information be included in MD&A relates to financing. More specifically, this relates to areas such as debt instruments, guarantees, as well as related covenants. In situations when these financing considerations are material, companies are required to provide information about their historical financing arrangements and their importance to cash flows. Examples cited by the SEC which they would expect disclosure include the following (if applicable):

- The company's external debt financing
- The company's use of off-balance sheet financing arrangements
- The company's issuance or purchase of derivative instruments linked to its stock
- The company's use of stock as a form of liquidity

The SEC also requires that companies provide appropriate disclosure about their plans to raise capital, either through debt or equity. The SEC notes the following as an example of a situation where they would likely expect to see appropriate disclosure:

“Where a company has decided to raise or seeks to raise material external equity or debt financing, or if it is reasonably likely to do so in the future, discussion and analysis of the amounts or ranges involved, the nature and the terms of the financing, other features of the financing and plans, and the impact on the company's cash position and liquidity (as well as results of operations in the case of matters such as interest payments) should be considered and may be required.”

Recall from the preceding paragraph that covenants are an area where the SEC would look to companies to provide certain disclosures in MD&A. As you likely know, a debt covenant (sometimes also called a loan covenant) is simply a condition (or conditions) in a loan agreement that requires the borrower to meet certain conditions or to not take certain action. Simply put, it's restrictions on what a borrower can and can't do while they are subject to a loan agreement. The SEC notes that there are “...at least **two scenarios** in which companies should consider whether discussion and analysis of material covenants related to their outstanding debt may be required.” These two scenarios are presented in the following Exhibit.

Exhibit 1-7: Commission Guidance Regarding Management's Discussion and Analysis of Financial Condition and Results of Operations

(IV) Liquidity and Capital Resources

C. Debt Instruments, Guarantees and Related Covenants

First, companies that are, or are reasonably likely to be, in breach of such covenants must disclose material information about that breach and analyze the impact on the company if material. That analysis should include, as applicable and to the extent material:

- the steps that the company is taking to avoid the breach;
- the steps that the company intends to take to cure, obtain a waiver of or otherwise address the breach;
- the impact or reasonably likely impact of the breach (including the effects of any cross-default or cross-acceleration or similar provisions) on financial condition or operating performance; and
- alternate sources of funding to pay off resulting obligations or replace funding.

Second, companies should consider the impact of debt covenants on their ability to undertake additional debt or equity financing. Examples of these covenants include, but are not limited to, debt incurrence restrictions, limitations on interest payments, restrictions on dividend payments and various debt ratio limits. If these covenants limit, or are reasonably likely to limit, a company's ability to undertake financing to a material extent, the company is required to discuss the covenants in question and the consequences of the limitation to the company's financial condition and operating performance. Disclosure of alternate sources of funding and, to the extent material, the consequences (including but not limited to the cost) of accessing them should also be considered and may be required.

Item 303 – Liquidity and Capital Resources – Illustrative Examples

Now that you've familiarized yourself with some of the requirements with respect what should and should not be disclosed within this section of the MD&A, let's take a look at some real-world examples of public companies. A quick word of caution – the following examples are just that, examples. They are not being presented here to suggest that they reflect a best practice and/or that their disclosures presented satisfy all of the preceding guidance. You'll also note that as you look through the respective SEC filings, while MD&A shows up at Item 7 in all the 10-K, the names of the sections as well as the expansiveness of the information provided can vary considerably. That said, some of the examples presented will only be excerpts from the referenced filing. If you want to review the entirety of the filing, you can pull it up on the SEC.gov website.

HP, Inc. Form 10-K for the fiscal year ended October 31, 2021

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Liquidity and Capital Resources(*partial excerpt*)

We use cash generated by operations as our primary source of liquidity. While the impacts from the COVID-19 pandemic were originally expected to be temporary, however, with the emergence of new variants, there remains uncertainty around the extent and duration of the pandemic and how our liquidity and working capital needs may be impacted in the future periods as a result. We believe that current cash, cash flow from operating activities, new borrowings, available commercial paper authorization and the credit facilities will be sufficient to meet HP's operating cash requirements, planned capital expenditures, interest and principal payments on all borrowings, pension and post-retirement funding requirements, authorized share repurchases and annual dividend payments for the foreseeable future. Additionally, if suitable acquisition opportunities arise, the Company may obtain all or a portion of the required financing through additional borrowings. While our access to capital markets may be constrained and our cost of borrowing may increase under certain business, market and economic conditions, our access to a variety of funding sources to meet our liquidity needs is designed to facilitate continued access to capital resources under all such conditions. Our liquidity is subject to various risks including the risks identified in the section entitled "Risk Factors" in Item 1A and market risks identified in the section entitled "Quantitative and Qualitative Disclosures about Market Risk" in Item 7A, which are incorporated herein by reference.

During the fiscal year 2021, HP completed four acquisitions with a combined purchase price of \$854 million, net of cash acquired, of which \$400 million was recorded as goodwill and \$385 million as intangible assets related to these acquisitions. For more information, see Note 18, "Acquisitions", to the Consolidated Financial Statements in Item 8 of Part II of this report, which is incorporated herein by reference.

Our cash and cash equivalents balances are held in numerous locations throughout the world. We utilize a variety of planning and financing strategies in an effort to ensure that our worldwide cash is available when and where it is needed. Amounts held outside of the United States are generally utilized to support non-U.S. liquidity needs and may from time to time be distributed to the United States. The Tax Cuts and Jobs Act ("TCJA") made significant changes to the U.S. tax law, including a one-time transition tax on accumulated foreign earnings. The payments associated with this one-time transition tax will be paid over eight years and began in fiscal year 2019. We expect a significant portion of the cash and cash equivalents held by our foreign subsidiaries will no longer be subject to U.S. income tax upon a subsequent repatriation to the United States as a result of the transition tax on accumulated foreign earnings. However, a portion of this cash may still be subject to foreign income tax or withholding tax upon repatriation. As we evaluate the future cash needs of our operations, we may revise the amount of foreign earnings considered to be permanently reinvested in our foreign subsidiaries and how to utilize such funds, including reducing our gross debt level, or other uses.

Apple Inc. Form 10-K for the fiscal year ended September 25, 2021

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Liquidity and Capital Resources

The Company believes its balances of cash, cash equivalents and unrestricted marketable securities, which totaled \$172.6 billion as of September 25, 2021, along with cash generated by ongoing operations and continued access to debt markets, will be sufficient to satisfy its cash requirements and capital return program over the next 12 months and beyond.

The Company's material cash requirements include the following contractual and other obligations.

Debt

As of September 25, 2021, the Company had outstanding floating- and fixed-rate notes with varying maturities for an aggregate principal amount of \$118.1 billion (collectively the "Notes"), with \$9.6 billion payable within 12 months. Future interest payments associated with the Notes total \$39.5 billion, with \$2.9 billion payable within 12 months.

The Company also issues unsecured short-term promissory notes ("Commercial Paper") pursuant to a commercial paper program. As of September 25, 2021, the Company had \$6.0 billion of Commercial Paper outstanding, all of which was payable within 12 months.

Leases

The Company has lease arrangements for certain equipment and facilities, including retail, corporate, manufacturing and data center space. As of September 25, 2021, the Company had fixed lease payment obligations of \$14.6 billion, with \$1.8 billion payable within 12 months.

Manufacturing Purchase Obligations

The Company utilizes several outsourcing partners to manufacture subassemblies for the Company's products and to perform final assembly and testing of finished products. The Company also obtains individual components for its products from a wide variety of individual suppliers. Outsourcing partners acquire components and build product based on demand information supplied by the Company, which typically covers periods up to 150 days. As of September 25, 2021, the Company had manufacturing purchase obligations of \$54.8 billion, with \$54.7 billion payable within 12 months. The Company's manufacturing purchase obligations are primarily noncancelable.

Other Purchase Obligations

The Company's other purchase obligations primarily consist of noncancelable obligations to acquire capital assets, including product tooling and manufacturing process equipment, and noncancelable obligations related to advertising, content creation and Internet and telecommunications services. As of September 25, 2021, the Company had other purchase obligations of \$8.3 billion, with \$4.8 billion payable within 12 months.

Deemed Repatriation Tax Payable

As of September 25, 2021, the balance of the deemed repatriation tax payable imposed by the U.S. Tax Cuts and Jobs Act of 2017 (the "Act") was \$24.6 billion, none of which is payable within 12 months.

In addition to its cash requirements, the Company has a capital return program authorized by the Board of Directors. The Program does not obligate the Company to acquire any specific number of shares. As of September 25, 2021, the Company's quarterly cash dividend was \$0.22 per share. The Company intends to increase its dividend on an annual basis, subject to declaration by the Board of Directors.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

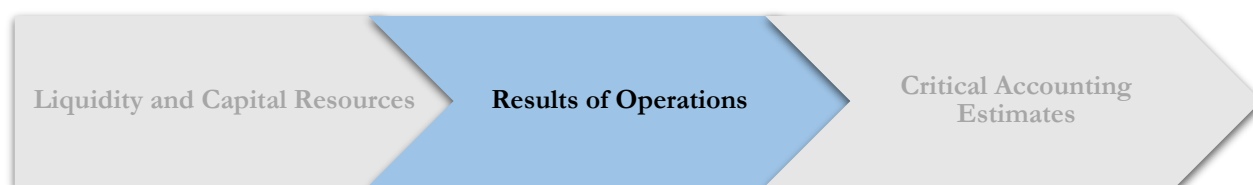
Liquidity and Capital Resources (*partial excerpt*)

We anticipate that our future capital needs from the debt market will be more limited compared to prior years. Our ability to obtain this or any additional financing that we may choose to, or need to, obtain will depend on, among other things, our development efforts, business plans, operating performance and the condition of the capital markets at the time we seek financing. We may not be able to obtain such financing on terms acceptable to us or at all. If we raise additional funds through the issuance of equity or debt securities, those securities may have rights, preferences or privileges senior to the rights of our common stock, and our stockholders may experience dilution.

In March 2021, our Board of Directors authorized the repurchase of up to \$5 billion of our common stock, with no expiration date. Stock repurchases may be effected through open market repurchases in compliance with Rule 10b-18 under the Exchange Act, including through the use of trading plans intended to qualify under Rule 10b5-1 under the Exchange Act, privately-negotiated transactions, accelerated stock repurchase plans, block purchases, or other similar purchase techniques and in such amounts as management deems appropriate. We are not obligated to repurchase any specific number of shares, and the timing and actual number of shares repurchased will depend on a variety of factors, including our stock price, general economic, business and market conditions, and alternative investment opportunities. We may discontinue any repurchases of our common stock at any time without prior notice. As of December 31, 2021, the Company has repurchased 1,182,410 shares of common stock for an aggregate amount of \$600 million. As of December 31, 2021, \$4.4 billion remains available for repurchases.

Our primary uses of cash include the acquisition, licensing and production of content, marketing programs, streaming delivery and personnel-related costs. Cash payment terms for non-original content are in line with the amortization period. Investments in original content, and in particular content that we produce and own, require more cash upfront relative to licensed content. For example, production costs are paid as the content is created, well in advance of when the content is available on the service and amortized. We expect to continue to significantly increase our investments in global content, particularly in original content. We currently anticipate that cash flows from operations, available funds and access to financing sources, including our revolving credit facility, will continue to be sufficient to meet our cash needs for the next twelve months and beyond.

Item 303 – Results of Operations



With the discussion of liquidity and capital resources behind us, let's now focus on the next primary area related to the results of operations. Continuing with our approach from the last area, let's first take a look at the detailed guidance provided by the SEC related to this area in the following Exhibit.

Exhibit 1-8: § 229.303 (Item 303)(b)(2) – Results of Operations

- (i) Describe any unusual or infrequent events or transactions or any significant economic changes that materially affected the amount of reported income from continuing operations and, in each case, indicate the extent to which income was so affected. In addition, describe any other significant components of revenues or expenses that, in the registrant's judgment, would be material to an understanding of the registrant's results of operations.
- (ii) Describe any known trends or uncertainties that have had or that are reasonably likely to have a material favorable or unfavorable impact on net sales or revenues or income from continuing operations. If the registrant knows of events that are reasonably likely to cause a material change in the relationship between costs and revenues (such as known or reasonably likely future increases in costs of labor or materials or price increases or inventory adjustments), the change in the relationship must be disclosed.
- (iii) If the statement of comprehensive income presents material changes from period to period in net sales or revenue, if applicable, describe the extent to which such changes are attributable to changes in prices or to changes in the volume or amount of goods or services being sold or to the introduction of new products or services.

Clearly you know that the results of operations can often be reviewed by studying a company's income statement and its statement of cash flows. However, remember that the MD&A section is not meant to serve as simply a "rinse and repeat" type description of information that can already be gleaned from several of the financial statements. Instead, you'll note the theme in the previous exhibit, most prominently in the first two bullet points. The results of operations area of MD&A should present those transactions/events that are **unusual or infrequent**, and it should present **significant economic changes** that materially affected the amount of income reported. In addition to these points, it should be reserved for discussions about **known trends or uncertainties** that may have had a positive or negative impact on income from continuing operations.

Let's take a look at some more specifics with respect to this area. If you refer to the SEC's Division of Corporate Finance – Financial Reporting Manual, specifically Topic 9 ("Management's Discussion and Analysis of Financial Position And Results of Operations (MD&A)"), Section 9220 ("Results of Operations") notes that the following disclosures are required by Item 303:

- Any unusual or infrequent event or transaction or any significant economic change that materially affected the amount of reported income from continuing operations
- Significant components of revenues and expenses that are necessary in order to understand the results of operations (e.g., segmental information)

- Any known trends or uncertainties that have had or that the registrant reasonably expects will have a material favorable or unfavorable impact on net sales or revenues or income from continuing operations
- If events that are likely to cause a material change in the relationship between costs and revenues (increases in labor costs or raw materials for example), the change in the relationship should be disclosed
- To the extent there is a material increase in net sales, discuss the price vs. volume mix (whether the overall increase is attributable to increases in prices or increases in the volume of goods and services being sold)

Additionally, refer to the following Exhibit which provides additional guidance included within the Financial Reporting Manual related to the area of results of operations.

Exhibit 1-9: SEC Division of Corporate Finance – Financial Reporting Manual

Topic 9220.3 thru 5

In order to comply with the requirement to discuss significant components of revenue and expenses, registrants will often provide a discussion along segmental lines (as determined under SFAS 131 [ASC 280]). Segment analysis is usually necessary to enable a reader to understand the consolidated amounts, but it should not result in repetitive disclosure that lengthens MD&A unnecessarily, or obscures salient information. The discussion and analysis of segments may be integrated with the discussion of the consolidated amounts to avoid unnecessary duplication. The discussion and analysis should be comprehensive. All components of the registrant's results of operations, including those that may not be allocated to the segments in determining the segmental profit or loss (such as certain corporate overhead items or income taxes for example) should be discussed.

Registrants should consider discussing and analyzing the tax implications related to material transactions, trends and other important items impacting their business as disclosed elsewhere in MD&A. A discussion of the nature and impact of significant tax rate reconciling items should also be considered. For example, discuss the tax rate reconciling item resulting from a change in assumptions related to an unrecognized tax benefit or a different final resolution related to the unrecognized benefit. Similarly, when uncertain tax positions are a critical accounting policy, MD&A should address why the assumptions were changed or why the actual resolution differed from management's assumption.

Registrants should address the underlying reasons for changes in the price versus volume mix. For example, if sales declined because the volume of goods sold decreased by 20%, but this was offset by a 10% increase in price, the discussion in MD&A should not stop once it identifies the price and volume components. In this example, the underlying factors that contributed to the decline in volume as well as the increase in selling prices should also be discussed. In addition, discussions about changes in the price vs. volume mix should consider changes in foreign currency fluctuations.

The SEC's Financial Reporting Manual notes that the results of operations may not always be prepared on a consistent basis. In other words, events such as a material acquisition or disposition could make the results of operations not perfectly comparable as if one of these significant events did not occur. When this occurs, the SEC notes companies may need to consider whether they need to supplement the discussion based upon pro forma financial information. Furthermore, the SEC notes that "...this supplemental discussion may be meaningful in the case of a material acquisition, but generally would not be appropriate in the case of freshstart accounting." An example provided within the SEC's Reporting Manual is included below (9220.8):

"Assume a material acquisition occurs on August 31, 2007, and the registrant is a calendar year-end company. In accordance with the Form 8-K requirements, pro forma financial information prepared in accordance with S-X Article 11 is prepared for the year ended December 31, 2006 and the interim period

ended June 30, 2007 and filed on the Form 8-K. When preparing its MD&A for the Form 10-K for the year ended December 31, 2007, the registrant could elect to supplement the discussion of its historical results with a discussion based on S-X Article 11 pro forma information for the year ended December 31, 2007 that gives effect to the August 31, 2007 acquisition. The pro forma December 31, 2007 information would then be compared to the pro forma information for the year ended December 31, 2006 previously filed via a Form 8-K. This discussion would be in addition to a comparison of the audited financial statements, which would reflect the acquisition occurring in mid-2007. A supplemental discussion based on pro forma financial information in more detail than revenues and costs of revenues for the year ended December 31, 2005 would not be appropriate. The comparison of results of operations and financial condition for the year ended December 31, 2005 to December 31, 2006 would be on an as reported (and audited) basis and would not reflect any impact of the acquisition. In its Form 10-K for the year ended December 31, 2008, the registrant may carry forward the discussion of the pro forma results for the year ended December 31, 2006 and 2007 as a supplement to the discussion of the audited financial statements. No adjustments would be appropriate or necessary to the year ended December 31, 2008 as the acquisition would be reflected in the audited financial statements for the entire year.”

To summarize, the discussion in MD&A related to the results of operations should not simply present results. Instead, recall that one of the fundamental objectives of MD&A is to see through the eyes of management. In order to meet this objective, companies should strive to explain the results such that it is informative to the investor and provides them important information that cannot be readily determined from a cursory review of the actual financial statements.

Item 303 – Results of Operations – Illustrative Examples

Continuing on with our previous approach, we'll now take a look at a few examples of how the results of operations are presented from a handful of public companies. Again, they are not being presented here to suggest that they reflect a best practice and/or that their disclosures presented satisfy all of the preceding guidance presented. Instead, they serve to provide a bit of a real world example of how some companies elect to meet these disclosure requirements.

Walmart Inc. Form 10-K for the fiscal year ended January 31, 2022

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Results of Operations (*partial excerpt*)

Our total revenues, which includes net sales and membership and other income, increased \$13.6 billion or 2.4% and \$35.2 billion or 6.7% for fiscal 2022 and 2021, respectively, when compared to the previous fiscal year. These increases in revenues were primarily due to increases in net sales, which increased \$12.5 billion or 2.3% and \$35.3 billion or 6.8% for fiscal 2022 and 2021, respectively, when compared to the previous fiscal year. For fiscal 2022, the increase was primarily due to strong positive comparable sales for the Walmart U.S. and Sam's Club segments which benefited from strong U.S. consumer spending and some inflation, along with positive comparable sales in most of our remaining international markets. The increase was partially offset by a \$32.6 billion net sales decrease primarily related to the divestiture of our operations in the U.K. and Japan, which closed in the first quarter of fiscal 2022. Net sales also benefited from a \$4.5 billion positive impact of fluctuations in currency exchange rates during fiscal 2022. For fiscal 2021, the increase was primarily due to strong positive comparable sales for the Walmart U.S. and Sam's Club segments as well as positive comparable sales in the majority of our international markets resulting from increased demand stemming from the COVID-19 pandemic. Overall net sales growth was strong despite certain operating limitations in several international markets in the second quarter of fiscal 2021 due to government regulations and precautionary measures taken as a result of the COVID-19 pandemic. The net sales increase was partially offset by a negative impact from fluctuations in currency exchange rates of \$5.0 billion.

Our gross profit rate increased 14 and 20 basis points for fiscal 2022 and 2021, respectively, when compared to the previous fiscal year. For fiscal 2022, the increase was primarily due to price management in the Walmart U.S. segment driven by cost inflation as well as merchandise mix, partially offset by increased supply chain costs. For fiscal 2021, the increase was primarily due to strategic sourcing initiatives, strong sales in higher margin categories, and fewer markdowns. This was partially offset in the Walmart U.S. segment by carryover of prior year price investment as well as the temporary closure of our Auto Care Centers and Vision Centers in response to the COVID-19 pandemic.

For fiscal 2022, operating expenses as a percentage of net sales decreased 19 basis points when compared to the previous fiscal year. Operating expenses as a percentage of net sales benefited from growth in comparable sales and lower incremental COVID-19 related costs of \$2.5 billion as compared to the previous year, partially offset by increased wage investments primarily in the Walmart U.S. segment. For fiscal 2021, operating expenses as a percentage of net sales was flat when compared to the previous fiscal year. Operating expenses as a percentage of net sales benefited from strong growth in comparable sales, offset by \$4.0 billion of incremental costs related to the COVID-19 pandemic.

The Home Depot, Inc. Form 10-K for the fiscal year ended January 30, 2022

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations
Results of Operations (*partial excerpt*)

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations.

Our MD&A includes the following sections:

- [Executive Summary](#)
- [Results of Operations](#)
- [Liquidity and Capital Resources](#)
- [Critical Accounting Policies](#)

Note the company's use of indexing for purposes of its MD&A section of its 10-K

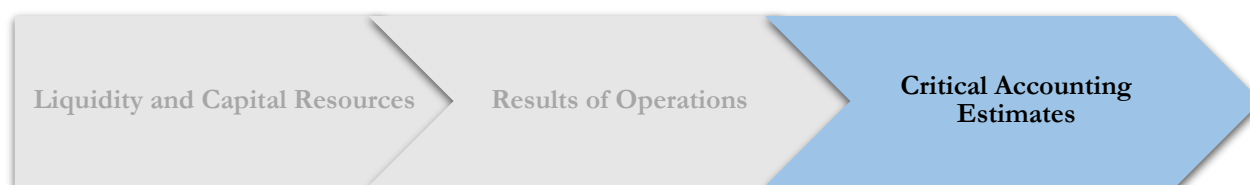
Sales. We assess our sales performance by evaluating both net sales and comparable sales.

Net Sales. Net sales for fiscal 2021 increased \$19.0 billion, or 14.4%, to \$151.2 billion. The increase in net sales for fiscal 2021 primarily reflected the impact of positive comparable sales driven by an increase in comparable average ticket, as well as sales from HD Supply, which was acquired in the fourth quarter of fiscal 2020. In fiscal 2021, we saw continued elevated home improvement demand, which began at the end of the first quarter of fiscal 2020, with strong performance across our departments as customers continued to focus on home improvement projects and repairs. A weaker U.S. dollar positively impacted sales growth by \$760 million in fiscal 2021. Online sales, which consist of sales generated online through our websites for products picked up in our stores or delivered to customer locations, represented 13.7% of net sales and grew by 9.4% during fiscal 2021 compared to fiscal 2020. The increase in online sales in fiscal 2021 was driven by customers continuing to leverage our digital platforms for their shopping needs.

Comparable Sales. Comparable sales is a measure that highlights the performance of our existing locations and websites by measuring the change in net sales for a period over the comparable prior-period of equivalent length. Comparable sales includes sales at all locations, physical and online, open greater than 52 weeks (including remodels and relocations) and excludes closed stores. Retail stores become comparable on the Monday following their 52nd week of operation. Acquisitions are typically included in comparable sales after they have been owned for more than 52 weeks. Comparable sales is intended only as supplemental information and is not a substitute for net sales presented in accordance with GAAP.

Total comparable sales increased 11.4% in fiscal 2021, reflecting an 11.7% increase in comparable average ticket and nearly flat comparable customer transactions when compared to fiscal 2020. The increase in comparable sales reflected a number of factors, including strong home improvement demand and benefits from our strategic efforts to drive an enhanced interconnected experience in both the physical and digital worlds, as well as inflation. The increase in comparable average ticket was primarily driven by inflation, an increase in big-ticket transactions, elevated project demand, and strong demand for new and innovative products.

Item 303 – Critical Accounting Estimates



Our third and final section as noted in the illustration above relates to critical accounting estimates. Continuing with our approach from the last two areas, let's first take a look at the detailed guidance provided by the SEC related to this area in the following Exhibit.

Exhibit 1-10: § 229.303 (Item 303)(b)(3) – Critical Accounting Estimates

Critical accounting estimates are those estimates made in accordance with generally accepted accounting principles that involve a significant level of estimation uncertainty and have had or are reasonably likely to have a material impact on the financial condition or results of operations of the registrant. Provide qualitative and quantitative information necessary to understand the estimation uncertainty and the impact the critical accounting estimate has had or is reasonably likely to have on financial condition or results of operations to the extent the information is material and reasonably available. This information should include why each critical accounting estimate is subject to uncertainty and, to the extent the information is material and reasonably available, how much each estimate and/or assumption has changed over a relevant period, and the sensitivity of the reported amount to the methods, assumptions and estimates underlying its calculation.

As the name suggests, partially at least, critical accounting estimates reflect those types of estimates which involve either a significant level of uncertainty and/or a potential material impact on a company's income statement or balance sheet. As the name also suggests, this guidance doesn't simply require companies to disclose all of their accounting estimates. Far from it. Instead, it requires only those estimates that are in fact critical.

In its interpretations publication, the SEC notes that companies should consider whether they have made accounting estimates or assumptions where both the following are applicable:

- The nature of the estimates or assumptions are material due to the levels of subjectivity and judgment necessary to account for highly uncertain matters or the susceptibility of such matters to change
- The impact of the estimates and assumptions on financial condition or operating performance is material.

When both of the following conditions are met, companies should make appropriate disclosures of their critical accounting estimates. If the contrary holds true, it is likely that disclosure is unnecessary.

Accounting Policy Disclosures vs. Critical Accounting Estimates

One question that often arises in this area is the difference in the critical accounting estimates section in MD&A versus that of the accounting policies disclosures in a company's notes to its financial statements. Simply put, the SEC notes that "...the discussion in MD&A should present a company's analysis of the **uncertainties involved** in applying a principle at a given time or the variability that is reasonably likely to result from its application over time." This is in contrast to the disclosure of a company's accounting principles which center more so around the **methods involved** and may or may not involve this enhanced discussion of the uncertainties involved in applying those principles. Additionally, the discussion of critical accounting estimates in the MD&A section should "supplement, not duplicate, the description of accounting policies that are already disclosed in the notes to the financial statements" and "provide greater insight into the quality and variability

of information regarding financial condition and operating performance.” Refer to the following Exhibit which provides additional information from the SEC with respect to this area.

Exhibit 1-11: Commission Guidance Regarding Management's Discussion and Analysis of Financial Condition and Results of Operations

(V) Critical Accounting Estimates

A company should address specifically why its accounting estimates or assumptions bear the risk of change. The reason may be that there is an uncertainty attached to the estimate or assumption, or it just may be difficult to measure or value. Equally important, companies should address the questions that arise once the critical accounting estimate or assumption has been identified, by analyzing, to the extent material, such factors as how they arrived at the estimate, how accurate the estimate/assumption has been in the past, how much the estimate/assumption has changed in the past, and whether the estimate/assumption is reasonably likely to change in the future. Since critical accounting estimates and assumptions are based on matters that are highly uncertain, a company should analyze their specific sensitivity to change, based on other outcomes that are reasonably likely to occur and would have a material effect. Companies should provide quantitative as well as qualitative disclosure when quantitative information is reasonably available and will provide material information for investors.

For example, if reasonably likely changes in the long-term rate of return used in accounting for a company's pension plan would have a material effect on the financial condition or operating performance of the company, the impact that could result given the range of reasonably likely outcomes should be disclosed and, because of the nature of estimates of long-term rates of return, quantified.

Item 303 – Critical Accounting Estimates – Illustrative Examples

Continuing on with our previous approach, we'll now take a look at a few examples of how critical accounting estimates are presented from a handful of public companies. The first example is from Best Buy, and only includes a couple of the critical accounting estimates that the company disclosed in their referenced 10-K. You'll note for each one, the company provides a description of the accounting estimate, describes why there are judgments/uncertainties inherent in the process, and also discusses the effects if those estimates were to materially differ from actual results. This is also similar to how Visa (the second example) breaks it out in their disclosures as well.

Best Buy Co. Inc. Form 10-K for the fiscal year ended January 29, 2022

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Critical Accounting Estimates (*partial excerpt*)

The preparation of our financial statements requires us to make assumptions and estimates about future events and apply judgments that affect the reported amounts of assets, liabilities, revenue, expenses and the related disclosures. We base our assumptions, estimates and judgments on historical experience, current trends and other factors believed to be relevant at the time our consolidated financial statements are prepared. Because future events and their effects cannot be determined with certainty, actual results could differ from our assumptions and estimates, and such differences could be material.

Vendor Allowances

Description

We receive funds from our merchandise vendors through a variety of programs and arrangements, primarily in the form of purchases-based or sales-based volumes and for product advertising and placement. We recognize allowances based on purchases and sales as a reduction of cost of sales when the associated inventory is sold. Allowances for advertising and placement are recognized as a reduction of cost of sales ratably over the corresponding performance period. Funds that are determined to be a reimbursement of specific, incremental and identifiable costs incurred to sell a vendor's products are recorded as an offset to the related expense within SG&A when incurred.

Judgments and uncertainties involved in the estimate

Due to the quantity and diverse nature of our vendor agreements, estimates are made to determine the amount of funding to be recognized in earnings or deferred as an offset to inventory. These estimates require a detailed analysis of complex factors, including (1) proper classification of the type of funding received; and (2) the methodology to estimate the portion of purchases-based funding that should be recognized in cost of sales in each period, which considers factors such as inventory turn by product category and actual sell-through of inventory.

Effect if actual results differ from assumptions

A 10% change in our vendor funding deferral as of January 29, 2022, would have affected net earnings by approximately \$35 million in fiscal 2022. The overall level of vendor funding deferral has remained relatively stable over the last three fiscal years.

Inventory Markdown

Description

Our merchandise inventories were \$6.0 billion as of January 29, 2022. We value our inventory at the lower of cost or net realizable value through the establishment of inventory markdown adjustments. Markdown adjustments reflect the excess of cost over the net recovery we expect to realize from the ultimate sale or other disposal of inventory and establish a new cost basis. No adjustment is recorded for inventory that we are able to return to our vendors for full credit.

Judgments and uncertainties involved in the estimate

Markdown adjustments involve uncertainty because the calculations require management to make assumptions and to apply judgment about the expected revenue and incremental costs we will generate for current inventory. Such estimates include the evaluation of historical recovery rates, as well as factors such as product type and condition, forecasted consumer demand, product lifecycles, promotional environment, vendor return rights and the expected sales channel of ultimate disposition. We also apply judgment in the assumptions about other components of net realizable value, such as vendor allowances and selling costs.

Effect if actual results differ from assumptions

A 10% change in our markdown adjustment as of January 29, 2022, would have affected net earnings by approximately \$12 million in fiscal 2022. The level of markdown adjustments has remained relatively stable over the last three fiscal years.

Visa Inc. Form 10-K for the fiscal year ended September 30, 2021

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Critical Accounting Estimates (*partial excerpt*)

Our consolidated financial statements are prepared in accordance with accounting principles generally accepted in the United States of America which require us to make judgments, assumptions and estimates that affect the amounts reported. See Note 1—Summary of Significant Accounting Policies to our consolidated financial statements included in Item 8—Financial Statements and Supplementary Data of this report. We have established policies and control procedures which seek to ensure that estimates and assumptions are appropriately governed and applied consistently from period to period. However, actual results could differ from our assumptions and estimates, and such differences could be material.

We believe that the following accounting estimates are the most critical to fully understand and evaluate our reported financial results, as they require our most subjective or complex management judgments, resulting from the need to make estimates about the effect of matters that are inherently uncertain and unpredictable.

Revenue Recognition – Client Incentives

Critical estimates. We enter into long-term incentive agreements with financial institution clients, merchants and other business partners for various programs that provide cash and other incentives designed to increase revenue by growing payments volume, increasing Visa product acceptance, winning merchant routing transactions over to our network and driving innovation. These incentives are primarily accounted for as reductions to net revenues; however, if a separate identifiable benefit at fair value can be established, they are accounted for as operating expenses. Incentives are recognized systematically and rationally based on management's estimate of each client's performance. These estimates are regularly reviewed and adjusted as appropriate based on changes in performance expectations, actual client performance, amendments to existing contracts or the execution of new contracts.

Assumptions and judgment. Estimation of client incentives relies on forecasts of payments and transaction volume, card issuance and card conversion. Performance is estimated using client-reported information, transactional information accumulated from our systems, historical information, market and economic conditions and discussions with our clients, merchants and business partners.

Impact if actual results differ from assumptions. If actual performance is not consistent with our estimates, client incentives may be materially different than initially recorded. Increases in incentive payments are generally driven by increased payments and transaction volume, which drive our net revenues. As a result, in the event incentive payments exceed estimates, such payments are not expected to have a material effect on our financial condition, results of operations or cash flows. The cumulative impact of a revision in estimates is recorded in the period such revisions become probable and estimable. For the year ended September 30, 2021, client incentives represented 26% of gross revenues.

Income Taxes

Critical estimates. In calculating our effective income tax rate, we make judgments regarding certain tax positions, including the timing and amount of deductions and allocations of income among various tax jurisdictions.

Assumptions and judgment. We have various tax filing positions with regard to the timing and amount of deductions and credits and the allocation of income among various tax jurisdictions, based on our interpretation of local tax laws. We also inventory, evaluate and measure all uncertain tax positions taken or expected to be taken on tax returns and to record liabilities for the amount of such positions that may not be sustained, or may only be partially sustained, upon examination by the relevant taxing authorities.

Impact if actual results differ from assumptions. Although we believe that our estimates and judgments are reasonable, actual results may differ from these estimates. Some or all of these judgments are subject to review by the taxing authorities. If one or more of the taxing authorities were to successfully challenge our right to realize some or all of the tax benefit we have recorded, and we were unable to realize this benefit, it could have a material adverse effect on our financial results and cash flows.

Item 303 – Interim Reporting Requirements

Up until this point in the chapter, we have addressed the three main disclosure categories with respect to Item 303 – liquidity and capital resources, results of operations, and critical accounting estimates. As you'll also recall, these are areas that are required to be disclosed with respect to full fiscal years (i.e., 10-Ks). In this section of the chapter, we shift gears and focus on those requirements related to interim periods (i.e., 10-Qs).

The overall guidance for interim periods is pretty straight forward. In short, MD&A discussion in the interim period should focus on **material changes** in those items disclosed in the annual filing. In other words, MD&A would focus on material changes in liquidity and capital resources, material changes in results of operations, and material changes in critical accounting estimates from the most recent 10-K. To continue on with our approach in the earlier sections, let's take a look at the specific SEC guidance in Item 303 related to this area.

Exhibit 1-12: § 229.303 (Item 303)(c) – Interim Periods

(1) **Material changes in financial condition.** Discuss any material changes in financial condition from the end of the preceding fiscal year to the date of the most recent interim balance sheet provided. If the interim financial statements include an interim balance sheet as of the corresponding interim date of the preceding fiscal year, any material changes in financial condition from that date to the date of the most recent interim balance sheet provided also must be discussed. If discussions of changes from both the end and the corresponding interim date of the preceding fiscal year are required, the discussions may be combined at the discretion of the registrant.

(2) **Material changes in results of operations**

(i) Discuss any material changes in the registrant's results of operations with respect to the most recent fiscal year-to-date period for which a statement of comprehensive income is provided and the corresponding year-to-date period of the preceding fiscal year.

(ii) Discuss any material changes in the registrant's results of operations with respect to either the most recent quarter for which a statement of comprehensive income is provided and the corresponding quarter for the preceding fiscal year or, in the alternative, the most recent quarter for which a statement of comprehensive income is provided and the immediately preceding sequential quarter. If the latter immediately preceding sequential quarter is discussed, then provide in summary form the financial information for that immediately preceding sequential quarter that is subject of the discussion or identify the registrant's prior filings on EDGAR that present such information. If there is a change in the form of presentation from period to period that forms the basis of comparison from previous periods provided pursuant to this paragraph, the registrant must discuss the reasons for changing the basis of comparison and provide both comparisons in the first filing in which the change is made.

As you'll note from the guidance above, it's fairly simple to understand the key takeaway here. If there have been material changes to those areas previously disclosed in the most recent 10-K, then those need to be properly addressed within the respective interim period. If there have not been material changes, then no disclosures are likely necessary.

Item 303 – Interim Reporting Requirements – Illustrative Examples

Continuing on with our previous approach, we'll take a look at a few examples of how this interim information is presented within the MD&A section. Again, these examples are not being presented to reflect a best practice and/or that their disclosures presented satisfy all of the preceding guidance presented.

Apple Inc. Form 10-Q For the quarterly period ended December 25, 2021

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

Liquidity and Capital Resources

The Company believes its balances of cash, cash equivalents and unrestricted marketable securities, along with cash generated by ongoing operations and continued access to debt markets, will be sufficient to satisfy its cash requirements and capital return program over the next 12 months and beyond.

The Company's cash requirements have not changed materially since the 2021 Form 10-K, except for manufacturing purchase obligations.

Manufacturing Purchase Obligations

The Company utilizes several outsourcing partners to manufacture subassemblies for the Company's products and to perform final assembly and testing of finished products. The Company also obtains individual components for its products from a wide variety of individual suppliers. Outsourcing partners acquire components and build product based on demand information supplied by the Company, which typically covers periods up to 150 days. As of December 25, 2021, the Company had manufacturing purchase obligations of \$47.6 billion, with \$47.5 billion payable within 12 months. The Company's manufacturing purchase obligations are primarily noncancelable.

Critical Accounting Estimates

The preparation of financial statements and related disclosures in conformity with U.S. generally accepted accounting principles and the Company's discussion and analysis of its financial condition and operating results require the Company's management to make judgments, assumptions and estimates that affect the amounts reported. Note 1, "Summary of Significant Accounting Policies" of the Notes to condensed consolidated Financial Statements in Part I, Item 1 of this Form 10-Q and in the Notes to Consolidated Financial Statements in Part II, Item 8 of the 2021 Form 10-K describe the significant accounting policies and methods used in the preparation of the Company's condensed consolidated financial statements. There have been no material changes to the Company's critical accounting estimates since the 2021 Form 10-K.

IBM Corporation Form 10-Q For the quarterly period ended September 30, 2021

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

Liquidity and Capital Resources

In our 2020 Annual Report, on pages 56 to 58, there is a discussion of our liquidity including two tables that present three years of data. The table presented on page 56 includes net cash from operating activities, cash and cash equivalents, restricted cash and short-term marketable securities, and the size of our global credit facilities for each of the past three years. For the nine months ended, or at, as applicable, September 30, 2021, those amounts are \$10.3 billion of net cash from operating activities, \$8.4 billion of cash and cash equivalents, restricted cash and short-term marketable securities and \$10.0 billion in global credit facilities, respectively. While we have no current plans to draw on these credit facilities, they are available as back-up liquidity.

On July 9, 2019, we closed the acquisition of Red Hat for cash consideration of \$34.8 billion. The transaction was funded through a combination of cash on hand and proceeds from debt issuances. In order to reduce this debt and return to target leverage ratios within a couple of years, we suspended our share repurchase program at the time of the Red Hat acquisition closing.

In October 2021, Moody's downgraded our long-term debt rating from A2 to A3 and our commercial paper rating from Prime-1 to Prime-2. IBM has ample financial flexibility, supported by our strong liquidity position and cash flows, to operate at a single A credit rating. Debt levels have decreased \$7.0 billion from December 31, 2020 and \$18.5 billion from our peak levels at June 30, 2019 (immediately preceding the Red Hat acquisition) and we will continue to deleverage throughout 2021 utilizing our debt maturities schedule.

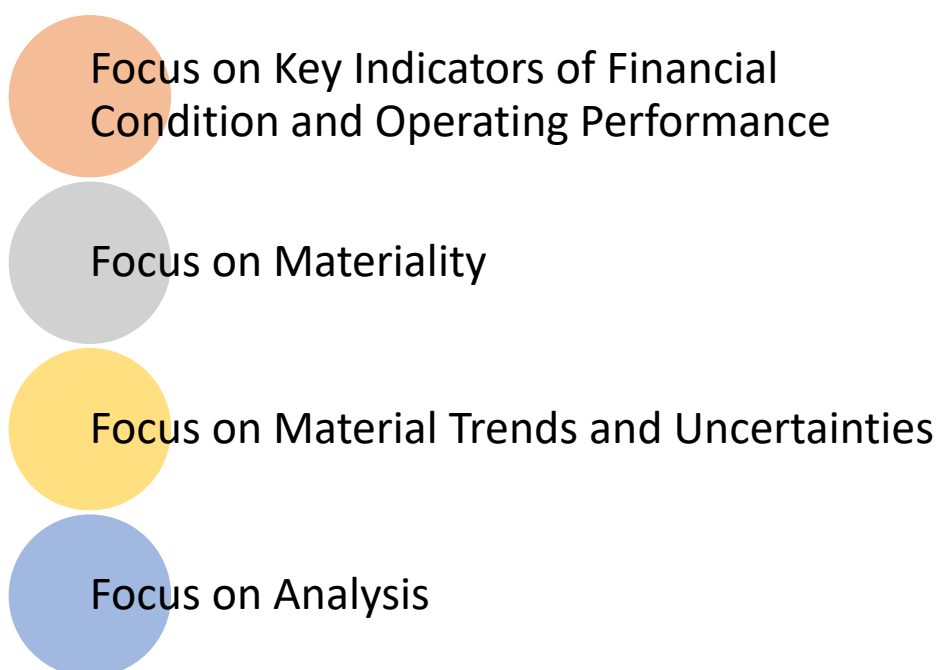
SEC Views – How to Improve MD&A

Up to this point in the chapter, we've focused on the core requirements of MD&A and presented lots of real world examples of disclosures made by well-known public companies. In this section of the chapter, we turn our attention to some of the points made by the SEC as it relates to these requirements, and how companies can better achieve the objectives.

In its previously referenced interpretations document, the SEC notes the following:

“In addition to enhancing MD&A through the use of clearer language and presentation, many companies could improve their MD&A by focusing on the most important information disclosed in MD&A. Disclosure should emphasize material information that is required or promotes understanding and de-emphasize (or, if appropriate, delete) immaterial information that is not required and does not promote understanding.”

In order to accomplish the objective of enhancing MD&A, the SEC provides the following four suggestions. We'll discuss each of these in the following few sections of this chapter.



Focus on Key Indicators of Financial Condition and Operating Performance

As you recall from some of the earlier discussion, one of the key objectives of MD&A is to provide investors with a view of the company similar to that with which management is provided (i.e., through the eyes of management). The SEC notes that “... financial measures generally are the starting point in ascertaining these key variables and other factors.” They go on to note that “... however, financial measures often tell only part of how a company manages its business” and companies should consider whether “disclosure of all key variables and other factors that management uses to manage the business would be material to investors, and therefore required”. Refer to the following Exhibit which provides additional guidance provided by the SEC.

Exhibit 1-13: Commission Guidance Regarding Management's Discussion and Analysis of Financial Condition and Results of Operations

B. The Content and Focus of MD&A

Many companies currently disclose non-financial business and operational data. Academics, authors, and consultants also have researched the types of information, outside of financial statement measures, that would be helpful to investors and other users. Such information may relate to external or macro-economic matters as well as those specific to a company or industry. For example, interest rates or economic growth rates and their anticipated trends can be important variables for many companies. Industry-specific measures can also be important for analysis, although common standards for the measures also are important. Some industries commonly use non-financial data, such as industry metrics and value drivers. Where a company discloses such information, and there is no commonly accepted method of calculating a particular non-financial metric, it should provide an explanation of its calculation to promote comparability across companies within the industry. Finally, companies may use non-financial performance measures that are company-specific.

In addition, if companies disclose material information (historical or forward-looking) other than in their filed documents (such as in earnings releases or publicly accessible analysts' calls or companion website postings) they also should evaluate that material information to determine whether it is required to be included in MD&A, either because it falls within a specific disclosure requirement or because its omission would render misleading the filed document in which the MD&A appears. We are not seeking to sweep into MD&A all the information that a company communicates. Rather, companies should consider their communications and determine what information is material and is required in, or would promote understanding of, MD&A.

The key takeaway from the SEC is that “the focus on key performance indicators can be enhanced not only through the language and content of the discussion, but also through a format that will enhance the understanding of the discussion and analysis.” For example, the SEC notes that the order of the information is not required to follow the order necessarily presented in the guidance prescribed by Item 303 (i.e., substances over form).

The SEC also notes that MD&A should provide a “...frame of reference that allows readers to understand the effects of material changes and events and known material trends and uncertainties arising during the periods being discussed, as well as their relative importance.” In order to do this, companies should strive to provide a “**balanced view** of the underlying dynamics of the business”. For example, they shouldn’t limit themselves to the company’s successes.

Focus on Materiality

If you’ve sensed a theme so far throughout, it’s that a company’s MD&A must specifically focus on known **material** events and uncertainties that would cause reported financial information not to be necessarily indicative of future operating performance or of future financial condition. At the risk of stating the obvious though, materiality is different based on the company involved. For example, compare the materiality threshold for a company like Apple vs. a small publicly traded company. Because of this, the SEC notes that companies must determine “...based on their own particular facts and circumstances, whether disclosure of a particular matter is required in MD&A.” The SEC does caution that “... however, the effectiveness of MD&A decreases with the accumulation of unnecessary detail or duplicative or uninformative disclosure that obscures material information.” Refer to the following Exhibit which provides additional information on the materiality topic.

Exhibit 1-14: Commission Guidance Regarding Management's Discussion and Analysis of Financial Condition and Results of Operations

B. The Content and Focus of MD&A

As the complexity of business structures and financial transactions increase, and as the activities undertaken by companies become more diverse, it is increasingly important for companies to focus their MD&A on material information. In preparing MD&A, companies should evaluate issues presented in previous periods and consider reducing or omitting discussion of those that may no longer be material or helpful, or revise discussions where a revision would make the continuing relevance of an issue more apparent.

Companies also should focus on an analysis of the consolidated financial condition and operating performance, with segment data provided where material to an understanding of consolidated information. Segment discussion and analysis should be designed to avoid unnecessary duplication and immaterial detail that is not required and does not promote understanding of a company's overall financial condition and operating performance.

One subtle, yet important, point to note here relates to interim period. The SEC notes that companies also must assess the materiality of items in preparing disclosure in their quarterly reports. This is because there may be different “quantitative and qualitative factors to consider when deciding whether to include certain information in a specific quarterly or annual report.”

Focus on Material Trends and Uncertainties

The SEC notes in order to understand a company's performance, and the extent to which reported financial information is indicative of future results, is to understand the trends, demands, commitments, events and uncertainties. Without having this information, investors would not have a good sense for company performance. Because of this, the SEC notes that these disclosures should include the following:

- Consideration of financial, operational and other information known to the company
- Identification, based on this information, of known trends and uncertainties
- Assessment of whether these trends and uncertainties will have, or are reasonably likely to have, a material impact on the company's liquidity, capital resources or results of operations

The SEC goes on to further note that “...in identifying known material trends and uncertainties, companies should consider the substantial amount of financial and non-financial information available to them, and whether or not the available information itself is required to be disclosed.” Said another way, over time this information may in fact reveal a trend or general pattern in activity.

Focus on Analysis

The last key area noted by the SEC is to focus on the analysis. In other words, while companies should be focused on the discussion, they shouldn't lose sight of also incorporating an appropriate analysis. Specifically, this relates to an analysis of those material trends, events, demands, commitments and uncertainties discussed in the previous section. Refer to the following Exhibit for some additional information from the SEC on this topic.

Exhibit 1-15: Commission Guidance Regarding Management's Discussion and Analysis of Financial Condition and Results of Operations

B. The Content and Focus of MD&A

Identifying the intermediate effects of trends, events, demands, commitments and uncertainties alone, without describing the reasons underlying these effects, may not provide sufficient insight for a reader to see the business through the eyes of management. A thorough analysis often will involve discussing both the intermediate effects of those matters and the reasons underlying those intermediate effects. For example, if a company's financial statements reflect materially lower revenues resulting from a decline in the volume of products sold when compared to a prior period, MD&A should not only identify the decline in sales volume, but also should analyze the reasons underlying the decline in sales when the reasons are also material and determinable. The analysis should reveal underlying material causes of the matters described, including for example, if applicable, difficulties in the manufacturing process, a decline in the quality of a product, loss in competitive position and market share, or a combination of conditions.

Similarly, where a company's financial statements reflect material restructuring or impairment charges, or a decline in the profitability of a plant or other business activity, MD&A should also, where material, analyze the reasons underlying these matters, such as an inability to realize previously projected economies of scale, a failure to renew or secure key customer contracts, or a failure to keep downtime at acceptable levels due to aging equipment. Whether favorable or unfavorable conditions constitute or give rise to the material trends, demands, commitments, events or uncertainties being discussed, the analysis should consist of material substantive information and present a balanced view of the underlying dynamics of the business.

Big 4 Views – Comment Letter Analysis on MD&A

As we noted in the introductory section to this course, the topic of MD&A has consistently ranked at the top in the overall frequency of SEC comment letters. In PwC's "SEC Comment Letter Trends" publication published on March 28, 2022, the firm notes that MD&A was #2 on the list of the Top 10 most frequent comment letter areas. In EY's publication "SEC Reporting Update - Highlights of Trends in 2021 SEC Comment Letters", the firm notes that MD&A was #2 on the Top 10 list. Additionally, in Deloitte's similar publication, the firm has MD&A ranked at the top of the list for most frequent comment letters. In this final section of the chapter, we'll explore some of the reasons for this "popularity" as well as offer up some insight from several of the Big 4 firms.

Results of Operations

As you recall, this area of MD&A requires companies to disclose any unusual/ infrequent events or transactions or any significant economic changes that materially affected the amount of reported income from continuing operations. It also requires companies to disclose any known trends or uncertainties that have had or that are reasonably likely to have a material favorable or unfavorable impact on net sales or revenues or income from continuing operations.

In EY's publication "SEC Reporting Update: Highlights of Trends in 2021 SEC Comment Letters", the firm notes the following with respect to this area:

"The SEC staff often requests that registrants explain the results of their operations with greater specificity, including identifying underlying drivers for each material factor that affected their earnings or is reasonably likely to have a material effect on future earnings. In addition to commenting on the analysis of changes in revenue, the SEC staff has been commenting on significant components of expenses and provisions. The SEC staff also focuses on performance metrics, including whether registrants have disclosed key metrics used by management that would be material to investors and how

those metrics correlate to material changes in the results of operations.

When material effects on results of operations are attributed to a decrease in headcount or other restructuring activities, the SEC staff may ask registrants to discuss their expectations about these activities. When registrants discuss changes in economic conditions, laws, regulations or foreign exchange rates, the SEC staff may ask about the expected effects of these items on revenues, income and liquidity in future periods.”

In its publication, the firm also provides the following excerpt from an actual SEC comment letter

“We note your disclosures regarding the tariff on imports that could adversely affect your costs, supply or have other material adverse impacts on your business. When considering the requirements of Item 303(a)(3)(ii) of Regulation S-K, please tell us how you concluded you did not need to describe trends or uncertainties related to these tariffs that have had or that you reasonably expect will have a material favorable or unfavorable impact on net sales or revenues or income from continuing operations, or any material changes in the relationship between costs and revenues.”

Deloitte has also provided interpretive guidance in their publication around the results of operations area of MD&A. The firm notes that “... SEC staff frequently comments on how a registrant can improve its discussion and analysis of known trends, demands, commitments, events, and uncertainties and their impact on the results of operations.” Deloitte further notes that the SEC has also encouraged companies to “use appropriate metrics to help them tell their story” and to “present changes in a tabular format.” Take a look at the following Exhibit which provides a few comment letter examples provided by Deloitte in their referenced publication.

Exhibit 1-16: Deloitte - SEC Comment Letter Considerations, Including Industry Insights
(November 2021)

Examples of SEC Comments

Please revise your disclosures to comply with Item 303 of Regulation S-K. In doing so, please be sure to describe the reasons for significant changes in revenues, expenses, cash flows and financial position. It is not sufficient to merely recite the information that is available on the face of the financial statements without describing the events, transactions and economic changes that materially affected the reported amounts.

We note that direct operating expenses increased significantly and in a higher proportion as compared to the percentage increase in revenue for each of your segments and on a consolidated basis. Please revise your disclosures in future filings to separately discuss direct operating expenses and to quantify and discuss factors responsible for changes pursuant to Item 303 of Regulation S-K. As part of your revised disclosure for direct operating expenses and for your existing expense discussion, please quantify each material component when a change is attributed to more than one factor. For example, you state that certain increases were “primarily” attributed to one factor, or “partially offset” by another [factor], or you cite several other factors responsible for the change. In your response, please provide us with an example of the disclosure to be included in future filings. Refer to SEC Release No. 33-8350.

PwC also has similar views which echo that of EY and Deloitte. In their comment letter publication, the firm also highlights that the SEC has a particular focus on the “discussion and analysis of results of operations, including the description and quantification of each material factor, offsetting factors, unusual or infrequent events, and economic developments causing changes in results between periods.” Consistent with the other firms, PwC also notes that the SEC is keenly interested in the discussion of “known trends or uncertainties that are reasonably expected to impact near and long term results.” Take a look at the following Exhibit which provides a few comment letter examples provided by PwC in their referenced publication.

Exhibit 1-17: PwC - US SEC Comment Letter Trends (December 31, 2021)

Management's discussion and analysis

Examples of SEC Comments

We note your disclosures that the increase in net sales during the current interim period was driven by growth in certain regions and end markets. We also note your disclosure that this is the first full quarter of revenue from a prior acquisition. Please revise your disclosures related to changes in net sales to quantify and more fully explain the reasons for changes in net sales during each period presented. For example, please quantify the impact of sales related to the acquisition and better explain the underlying reasons for sales growth in certain regions and end markets.

Cost of goods sold is the largest expense item and appears to be material to your results, yet there is no discussion and analysis of it. Please include a discussion and analysis of cost of goods sold as appropriate and material. In your disclosure, consider discussing and quantifying components of costs of goods sold to the extent material to the change in cost of goods sold between periods. Include a description in quantitative and qualitative terms of the underlying reasons associated with any components discussed. Refer to Item 303(a), introductory paragraph of Item 303(b) and Item 303(b)(2) of Regulation S-X and Section III.B.4 of Release No. 33-8350 for guidance.

We note the increase in the provisions for the allowance for doubtful accounts for each of the fiscal years 2020, 2019, and 2018. Please tell us more about the factors that led to the significant increase in the provision recognized during fiscal year 2020. Please ensure that the Company's MD&A disclosures fully address the facts and circumstances that drove the change and whether the disproportionate fluctuations in trends are expected to recur. See Item 303(a)(3)(i) and (ii) of Regulation S-K. We note in your earnings calls that you discuss net revenue per client and inventory turnover. If these metrics are used by management to manage the business, and promote an understanding of the company's operating performance, they should be identified as key performance indicators and discussed pursuant to Instruction 1 of paragraph 303(a) or Regulation S-K and Section III.B.1 of SEC Release No. 33-8350. Please tell us your consideration of disclosing these metrics, or other key performance indicators used.

Critical Accounting Estimates

The MD&A area related to critical accounting estimates is another area that is frequently reviewed by the SEC, though (anecdotally at least), it's likely not as common to receive SEC comments on this area as compared to the results of operations. As you recall from the discussion earlier in this chapter, critical accounting estimates reflect those types of estimates which involve either a significant level of uncertainty and/or a potential material impact on a company's income statement or balance sheet.

In its comment letter publication, EY notes that the SEC staff has frequently found companies disclosures about critical accounting estimates to be "too general" and should "provide a more robust analysis than what is in the significant accounting policies note to the financial statements." Recall from earlier that we indicated that while accounting policies in the notes to the financial statements describe the methods used, the MD&A should instead provide more information and analysis into uncertainties involved in applying the principles disclosed. In its publication, the firm offers up the following as an example comment letter from the SEC to a company regarding its critical accounting estimates.

"We note that a sharp decline in your stock price resulted in a significant decline in your market capitalization; however, you concluded that goodwill was not impaired for any business unit but did not provide a discussion of the methodology used to estimate fair value. Tell us how you reconciled and evaluated your market capitalization to the fair value of your reporting units and describe the reasons for significant differences, if any. Please also provide the method(s) you used to estimate the fair value of your reporting units. If more than one method was used, please indicate how you weighted each

method. In this regard, please provide qualitative and quantitative descriptions of the material assumptions and factors (e.g., stock prices) used to support each reporting unit's fair value determination and describe the degree of uncertainty associated with your key assumptions. Please refer to Item 303(a)(3)(ii) of Regulation S-K and SEC Release No. 34-48960"

PwC also emphasizes that the SEC is attune to companies disclosures regarding significant accounting estimates. At times, the SEC will even request that a company revise its disclosure. Take a look at a comment letter examples provided by PwC and Deloitte in the following Exhibit.

Exhibit 1-18: Comment Letter Examples – Critical Accounting Estimates

PwC - US SEC Comment Letter Trends (December 31, 2021)

We note your disclosure which refers the reader to the Notes to the Consolidated Financial Statements for information regarding the recognition of revenue. **Please revise** future critical accounting estimates disclosures to provide insight into the judgments that are made in your revenue recognition process. The accounting estimate disclosures are designed to supplement the description of accounting policies in the notes to the financial statements and provide greater insight into the quality and variability of information regarding financial condition and operating performance. Typical disclosures discuss the types of assumptions underlying the most significant and subjective estimates, provide a sensitivity analysis of those assumptions to deviations of actual results, and disclose the circumstances that have resulted in revised assumptions in the past. As an example, we note that significant judgment is used in determining total contract cost for revenue that is recorded over time using the cost-to-cost method.

Deloitte - SEC Comment Letter Considerations, Including Industry Insights (November 2021)

Please expand your disclosures to identify the number of reporting units where goodwill is allocated and tested for impairment. Additionally, please indicate whether the fair value substantially exceeds book value for all reporting units. If the fair value of any reporting unit does not substantially exceed book value, please identify the reporting unit and provide the following:

- the percentage by which fair value exceeded carrying value at the date of the most recent test;
- the amount of goodwill allocated to the reporting unit;
- a more detailed description of the methods and key assumptions used and how the key assumptions were determined;
- a discussion of the degree of uncertainty associated with the assumptions; and
- a description of potential events and/or changes in circumstances that could reasonably be expected to negatively affect the key assumptions.

Please refer to Item 303(a)(3)(ii) of Regulation S-K and Section V of SEC Release No. 34-48960.

Liquidity and Capital Resources

The MD&A area related to liquidity and capital resources is again another area that is frequently reviewed and commented on by the SEC. In its publication, EY notes that the SEC frequently requests that companies disclose the following:

- Whether identified trends will continue, and if so, how long they will continue and steps the registrant is taking to address the trends, including plans to remedy any identified material uncertainties or unfavorable trends in short- or long-term liquidity
- An analysis of all internal and external sources of liquidity, beyond cash on hand, as of the balance sheet date
- Amounts outstanding and available at the balance sheet date under each source of liquidity, with a comparison to cash needs over the next 12 months, including any significant planned capital

expenditures

- The sufficiency of the amounts available under existing credit arrangements, the anticipated circumstances requiring their use, any uncertainty about the registrant's ability to access these funds when needed and the implications of not being able to access the arrangements

Continuing on with our previous approach, included below is a referenced comment letter example provided by EY in its publication.

"We note that you recently entered into a series agreement with your lenders to extend a significant portion of your near-term debt maturities and to stabilize collateral requirements for your existing surety bond portfolio. Separately, you recently indicated on the earnings call that you may be at risk of breaching a key financial covenant. Please disclose whether you are in compliance with all financial covenants and address the actual or reasonably likely effects of compliance or noncompliance with the financial covenants on your financial condition and liquidity. Refer to section IV.C. of SEC Interpretive Release No. 33-8350."

Deloitte has also offered up similar analysis on this MD&A topic. In its publication, the firm notes that SEC staff frequently requests "...more meaningful analysis in a registrant's MD&A of material cash requirements, historical sources and uses of cash, and material trends and uncertainties so that investors can understand the registrant's ability to generate cash and meet cash requirements." To help illustrate this point, take a look at the following comment letter example included in the following Exhibit.

Exhibit 1-19: Deloitte - SEC Comment Letter Considerations, Including Industry Insights
(November 2021)

3.1.3 Liquidity and Capital Resources

Examples of SEC Comments

In future filings, including your quarterly reports, please revise to disclose whether you believe you have sufficient cash and other types of liquidity available to fund operations and meet your obligations on both a long-term and short-term basis. We would consider long-term to be greater than twelve months.

Your discussion of operating cash flows appears to be a recitation of changes disclosed on the consolidated statement of cash flows. Please revise and expand this discussion to include the primary drivers of, and other material factors necessary to understand, the company's cash flows from operating activities. Refer to section IV.B of SEC Release 33-8350.

[Please] revise the MD&A in your Form 10-Q to address your capital needs for the next twelve months, the material uncertainties surrounding your liquidity, and the impact that those uncertainties could have on your business. Refer to Item 303 of Regulation S-K.

Summary

As you can easily note from the discussions throughout this chapter, the topic of MD&A is on the SEC's radar and frequently ranks up at the top as one of the most common areas in which the SEC provides comment letters to companies. While it's important to have a good understanding of the requirements outlined within Item 303 with respect to the various areas requiring disclosures, it's equally as important to perform sufficient benchmarking of other similar companies to understand what they are and are not disclosing. Chances are if your industry peers are providing significantly more detail in the areas discussed throughout this chapter, it may be helpful to do a more thorough review of your disclosures to ensure you're meeting the objectives of the guidance.

Chapter 2 – Non-GAAP Financial Measures

This chapter provides an overview of non-GAAP financial measures with a particular emphasis on comments from the SEC, the FASB, as well as comment letter analysis from several of the Big 4 accounting firms. Non-GAAP financial measures continue to rank at the top of the most frequent comment letters issued by the SEC. As a result, it's important to understand the guidance with respect to these measures to ensure that an entity's financial statements remain GAAP compliant and are not misleading.

Chapter Learning Objectives

Upon completion of this chapter, you will be able to:

- Differentiate between a GAAP financial measure and a non-GAAP financial measure
- Recognize examples of different types of non-GAAP financial measures
- Identify which SEC guidance is applicable to different types of non-GAAP financial measures
- Recognize disclosures within the scope of Regulation G
- Identify key requirements included within both Regulation G and Regulation S-K related to these measures

Introduction

If you're a CPA reviewing this chapter, you're probably quite familiar with many areas of U.S. GAAP and how entity's record transactions and present their consolidated financial statements in accordance with U.S. GAAP. However, would it surprise you to know that a vast majority of the entities out there actually provide significant non-GAAP financial measures in their financial filings? You probably have lots of questions to start (e.g., what is a non-GAAP financial measure, why do the regulators care, how do you prevent receiving an SEC comment letter for inappropriate use of one of these measures, etc.) Several of these questions we'll explore throughout this chapter. Given the subject of this chapter, there will be many references throughout to relevant SEC guidance, Financial Accounting Standards Board (FASB) comments, as well as insights and analysis from several of the Big 4 public accounting firms. In the final part of this chapter, we'll actually review some real-world examples of SEC comments letters issued to entities challenging their use of certain non-GAAP financial measures. You're encouraged to explore many of these resources on your own to obtain a more comprehensive appreciation of the importance of the topic.

What is a Non-GAAP Financial Measure?

Let's start at the most obvious starting point and define what is a non-GAAP financial measure. Sure, it's a financial measure that is not based on U.S. GAAP, but there's more to it that's worth understanding. Based on the SEC's Financial Reporting Manual (Topic 8 - Non-GAAP Measures of Financial Performance, Liquidity, and Net Worth, Section 8120.1), the SEC defines a non-GAAP financial measure as the following:

A non-GAAP financial measure is a numerical measure of a registrant's historical or future financial performance, financial position, or cash flow that:

- excludes amounts, or is subject to adjustments that have the effect of excluding amounts, that are included in the most directly comparable measure calculated and presented in accordance with GAAP in the statement of comprehensive income, balance sheet or statement of cash flows of the issuer; or
- includes amounts, or is subject to adjustments that have the effect of including amounts, that are excluded from the most directly comparable GAAP measure so calculated and presented.

Furthermore, in the CPA Journal Article "The Gap between GAAP and Non-GAAP" (published February 2020), the authors (Theresa F. Henry, PhD, CPA, Rob R. Weitz, PhD and David A. Rosenthal, PhD) note the following with respect to non-GAAP financial measures:

"A non-GAAP financial measure adjusts the most directly comparable GAAP measure reported on the

audited financial statements by excluding items the company believes are not good indicators of its performance. One such measure is non-GAAP earnings. The calculation of this measure is highly subjective and is not comparable across entities or industries. Non-GAAP earnings is not a required disclosure, nor is it audited. Initial SEC regulation surrounding this disclosure was issued in 2003, entitled “Conditions for Use of Non-GAAP Financial Measures.” The original rule was updated in 2010 and 2016 with the SEC’s “Non-GAAP Financial Measures Compliance and Disclosure Interpretations.” This guidance has offered varying degrees of rigor with respect to the way non-GAAP earnings should be reported and presented.”

Non-GAAP financial measures are not a new thing entities are doing - far from it. However, they have been increasing in use and in turn, have been increasingly coming into the radar of the regulators over the last several years. As we’ll explore later in this chapter, you’ll soon note that the topic of non-GAAP financial measures are one of the most frequently received comment letter topic by entities. While other topics such as revenue recognition, segment reporting, MD&A, etc. round out some of the other top areas, the topic of non-GAAP financial measures has consistently ranked at the top for several years.

Examples of Non-GAAP Financial Measures

There is certainly not an exhaustive list of non-GAAP financial measures. And it goes without saying that as entities continue to stretch the limits on what information they represent as non-GAAP financial measures, the listing will never be complete. We’ll take a look at several common examples in the following sections.

In the previously referenced SEC Reporting Manual, Section 8120.2 identifies the following as common examples of measures that meet the definition of non-GAAP financial measures:

- Funds from operations (FFO)
- EBIT / EBITDA / adjusted EBITDA
- Adjusted revenues
- Broadcast cash flow (BCF)
- Free cash flow (FCF)
- Core earnings
- Measures presented on a constant-currency basis (e.g., revenues, operating expenses, etc.)

While you may not be familiar with all of the non-GAAP financial measure examples above, certainly you are a familiar and have likely seen several throughout various entities’ notes to their financial statements. In fact, EBIT and EBITDA are likely financial metrics that you first came across in one of your first accounting courses in college. It may be puzzling to some to realize that the concept of Earnings Before Interest & Taxes (EBIT) is non-GAAP. Other ones such as free cash flow and/or measures presented on a constant currency current may also be equally as puzzling as they’re frequently used by many companies.

As noted above, there are many different types of non-GAAP financial measures. Another common example of these include key performance indicators, or KPIs for short. You’ve likely heard this term as well. Key performance indicators, as defined by Investopedia, refers to a set of “...quantifiable measurements used to gauge a company’s overall long-term performance.” The Investopedia article on key performance indicators further notes that key performance indicators “...specifically help determine a company's strategic, financial, and operational achievements, especially compared to those of other businesses within the same sector.”

Examples of key performance indicators are numerous and vary from industry to industry. Still, key performance indicators can be either financial or nonfinancial in nature. From the FASB online publication “Why the FASB Cares About Non-GAAP Performance Measures”, the FASB notes the following as examples of both financial key performance indicators and nonfinancial key performance indicators:

- Nonfinancial Key Performance Indicators:
 - Number of stores
 - Number of employees

- Number of subscribers
- Financial Key Performance Indicators:
 - Same-store sales
 - Average revenue per customer
 - Sales per square foot

What Are NOT Non-GAAP Financial Measures

You have a good awareness now of what is a non-GAAP financial measure. But it's also important to understand what a non-GAAP financial measure is not. Within Regulation G ("General rules regarding Disclosure of Non-GAAP Financial Measures") issued by the SEC, the SEC notes the following as not being a non-GAAP financial measure:

- Operating and other financial measures and ratios or statistical measures calculated using exclusively one or both of:
 - Financial measures calculated in accordance with GAAP; and
 - Operating measures or other measures that are not non-GAAP financial measures
- Financial measures required to be disclosed by GAAP, Commission rules, or a system of regulation of a government or governmental authority or self-regulatory organization that is applicable to the registrant

Should Stakeholders Trust Non-GAAP Financial Measures?

This is likely a common question that is being asked, especially for those stakeholders which see the term "non-GAAP" and instinctively think something is not on the up and up. As long as non-GAAP financial measures are properly presented, properly disclosed, and respective Regulations are followed, then yes, these measures can be perfectly acceptable and provide certain insights into an entity's performance.

In its publication titled "To GAAP or non-GAAP? The SEC is watching" the public accounting firm PwC notes the following with respect to the trust factor of non-GAAP financial measures.

The use of GAAP provides uniformity in how companies report their financial performance. But most S&P 500 companies choose to report non-GAAP metrics in addition to GAAP measures. If done appropriately, non-GAAP measures can provide insights into a company's business, past performance and potential prospects.

However, with the proliferation of the use of non-GAAP measures—the majority of which show non-GAAP results exceeding GAAP results—critics have questioned whether, in some instances, the alternative metrics are painting too rosy a financial picture. In addition, non-GAAP measures are not audited, and the preparation of non-GAAP information is not typically covered by a company's internal control over financial reporting. These factors have led to an overall lack of trust in non-GAAP measures.

Where Do Non-GAAP Financial Measures Show Up?

Believe it or not, but you likely come across non-GAAP financial measures almost every day if you frequent financial news reports, earnings releases, investor publications, etc. The fact of the matter is that these non-GAAP financial measures are prevalent throughout. For example, you're likely to come across them in earnings calls, media interviews, investor and/or industry presentations, earnings guidance, and filings with the SEC (e.g., Form 10-K, Form 10-Q, registration statements, etc.). In this section of the chapter, we'll explore a few examples of these to help you better understand how these are presented as well as the explanatory language that entities often include to call attention to the fact that some of the information being presented is not based on U.S. GAAP.

Let's take a look at our first example from HP, Inc. Fiscal Year 2012 Second Quarter results press release. Note that the following Exhibit only provides an excerpt from the respective earnings release.

Exhibit 2-1: HP Earnings Release

HP Inc. Reports Fiscal 2021 Full Year and Fourth Quarter Results

PALO ALTO, Calif., Nov. 23, 2021 (GLOBE NEWSWIRE) -- HP (NYSE: HPQ)

- Fiscal 2021 GAAP diluted net earnings per share ("EPS") of \$5.33¹, above the previously provided outlook of \$3.56 to \$3.62 per share
- Fiscal 2021 **non-GAAP** diluted net EPS of \$3.79, above the previously provided outlook of \$3.69 to \$3.75 per share
- Fiscal 2021 net revenue of \$63.5 billion, up 12.1% from the prior-year period
- Fiscal 2021 net cash provided by operating activities of \$6.4 billion¹, **free cash flow** of \$4.2 billion
- Fiscal 2021 returned \$7.2 billion to shareholders in the form of share repurchases and dividends
- Fourth quarter GAAP diluted net EPS of \$2.71, above the previously provided outlook of \$0.82 to \$0.88 per share
- Fourth quarter **non-GAAP** diluted net EPS of \$0.94, above the previously provided outlook of \$0.84 to \$0.90 per share
- Fourth quarter net revenue of \$16.7 billion, up 9.3% from the prior-year period
- Fourth quarter net cash provided by operating activities of \$2.8 billion, **free cash flow** of \$0.9 billion
- Fourth quarter returned \$2.0 billion to shareholders in the form of share repurchases and dividends

Use of non-GAAP financial information

To supplement HP's consolidated condensed financial statements presented on a generally accepted accounting principles ("GAAP") basis, HP provides net revenue on a constant currency basis, non-GAAP total operating expense, non-GAAP operating profit, non-GAAP operating margin, non-GAAP tax rate, non-GAAP net earnings, non-GAAP diluted net EPS, free cash flow, gross cash and net cash (debt) financial measures. HP also provides forecasts of non-GAAP diluted net EPS and free cash flow. Reconciliations of these non-GAAP financial measures to the most directly comparable GAAP financial measures are included in the tables below or elsewhere in the materials accompanying this news release. In addition, an explanation of the ways in which HP's management uses these non-GAAP measures to evaluate its business, the substance behind HP's decision to use these non-GAAP measures, the material limitations associated with the use of these non-GAAP measures, the manner in which HP's management compensates for those limitations, and the substantive reasons why HP's management believes that these non-GAAP measures provide useful information to investors is included under "Use of non-GAAP financial measures" after the tables below. This additional non-GAAP financial information is not meant to be considered in isolation or as a substitute for net revenue, operating expense, operating profit, operating margin, tax rate, net earnings, diluted net EPS, cash (used in)/ provided by operating activities or cash and cash equivalents prepared in accordance with GAAP.

From the example press release above, you'll note the prevalent use of the term "non-GAAP" in the first few bullet points. Additionally, you may have also identified some other examples we mentioned earlier including the use of "free cash flow" as well as "constant currency". We'll discuss these in the next few sections of this chapter.

Free Cash Flow

Cash is king! Or is it free cash flow is king? The Corporate Financial Institute identifies the generic free cash flow formula as "...cash from operations minus capital expenditures." Said another way, the Corporate Financial Institute notes that "free cash flow is intended to represent the amount of cash generated by a

business, after accounting for reinvestment in non-current capital assets by the company.” Free cash flow can generally be easily derived by looking at an entity’s statement of cash flows. If that’s not available for some reason, it’s also possible to derive it through a backdoor approach using net income and adjusting for non-cash expenses, working capital, and capital expenditures.

Free cash flow is an important non-GAAP financial measure used by many companies. Investopedia notes the following with respect to free cash flow:

“Free cash flow is an important measurement since it shows how efficient a company is at generating cash. Investors use free cash flow to measure whether a company might have enough cash for dividends or share buybacks. In addition, the more free cash flow a company has, the better it is placed to pay down debt and pursue opportunities that can enhance its business, making it an attractive choice for investors.”

Let’s take a look at an example of a 10-K filing which reference the non-GAAP financial measure of free cash flow, as well as some others presented earlier. Refer to the Exhibit below.

Exhibit 2-2: Valvoline, Inc – Form 10-K For the fiscal year ended September 30, 2021

Use of Non-GAAP Measures

To aid in the understanding of Valvoline’s ongoing business performance, certain items within this document are presented on an adjusted, non-GAAP basis. These non-GAAP measures, presented both on a consolidated and reportable segment basis, have limitations as analytical tools and should not be considered in isolation from, or as an alternative to, or more meaningful than, the financial statements presented in accordance with U.S. GAAP. The financial results presented in accordance with U.S. GAAP and reconciliations of non-GAAP measures included within this Annual Report on Form 10-K should be carefully evaluated. The following are the non-GAAP measures management has included and how management defines them:

- EBITDA - defined as net income/loss, plus income tax expense/benefit, net interest and other financing expenses, and depreciation and amortization;
- Adjusted EBITDA - defined as EBITDA adjusted for certain unusual, infrequent or non-operational activity not directly attributable to the underlying business, which management believes impacts the comparability of operational results between periods ("key items," as further described below);
- Segment adjusted EBITDA - defined as segment operating income adjusted for depreciation and amortization, in addition to key items impacting comparability;
- Free cash flow - defined as cash flows from operating activities less capital expenditures and certain other adjustments as applicable; and
- Discretionary free cash flow - defined as cash flows from operating activities less maintenance capital expenditures and certain other adjustments as applicable.

Management uses free cash flow and discretionary free cash flow as additional non-GAAP metrics of cash flow generation. By including capital expenditures and certain other adjustments, as applicable, management is able to provide an indication of the ongoing cash being generated that is ultimately available for both debt and equity holders as well as other investment opportunities. Free cash flow includes the impact of capital expenditures, providing a supplemental view of cash generation. Discretionary free cash flow includes the impact of maintenance capital expenditures, which are routine uses of cash that are necessary to maintain the Company's operations and provides a supplemental view of cash flow generation to maintain operations before discretionary investments in growth. Free cash flow and discretionary free cash flow have certain limitations, including that they do not reflect adjustments for certain non-discretionary cash flows, such as mandatory debt repayments.

Constant Currency

The use of constant currencies is another popular non-GAAP financial measure. This is certainly the case for large multi-national entities with significant operations outside the U.S. (especially those with operations in countries with exchange rates which are highly volatile). At its core, constant currency is when certain exchange rates are used to eliminate the effect of these significant fluctuations when calculating financial performance numbers. Simply put, it is a method in which to provide investors an overview of how the entity performed without the material impacts of currency fluctuation (which is inherently outside the control of the entity).

Continuing on with the previous press release example from HP, Inc., refer to the following excerpt from that same press release where the concept of constant currency was highlighted by the entity.

Exhibit 2-3: HP Earnings Release

HP Inc. Reports Fiscal 2021 Full Year and Fourth Quarter Results

PALO ALTO, Calif., Nov. 23, 2021 (GLOBE NEWSWIRE) -- HP (NYSE: HPQ)

Fiscal 2021 fourth quarter segment results

Personal Systems net revenue was \$11.8 billion, up 13% year over year (up 10% in constant currency) with a 6.5% operating margin. Consumer PCs net revenue decreased 3% and Commercial PCs net revenue increased 25%. Total units were down 9% with Notebooks units down 12% and Desktops units up 2%.

Printing net revenue was \$4.9 billion, up 1% year over year (flat in constant currency) with a 17.0% operating margin. Total hardware units were down 26% with Consumer units down 28% and Commercial units down 12%. Consumer net revenue was down 6% and Commercial net revenue was up 19%. Supplies net revenue was down 2% (down 3% in constant currency).

What Drove the Increase in Use of Non-GAAP Financial Measures

You know what a non-GAAP financial measure is by definition and are aware of some of the different types commonly used. The next question you may be asking yourself is what drove the increased use of these measures. You're not alone in this regard. In fact, this is something the FASB has considered, and certainly continues to consider in its standard setting activities. Refer to the following Exhibit which provides some insight from the FASB on the increased use of these measures.

Exhibit 2-4: From the Chairman's Desk: By Russell G. Golden, FASB Chairman

Why the FASB Cares About non-GAAP Performance Measures

One of the growing controversies in financial reporting in 2016 was over public companies' use of non-GAAP reporting to describe their business performance to investors. For example, 88 percent of S&P 500 companies disclose non-GAAP measures in earnings releases.

While the number of non-GAAP measures garnered significant attention, the nature of some of the non-GAAP measures were particularly troubling. Those measures lacked credibility because they ignored GAAP recognition and measurement principles altogether and inaccurately depicted the underlying transaction or event.

The challenge lies in the potential for investors to misunderstand performance if they selectively use highly customized or tailored non-GAAP-based figures. The Securities and Exchange Commission (SEC) has clearly signaled to companies it is concerned about this, and companies are on notice that the SEC is paying close attention to how non-GAAP measures are used in investor communications.

If you've read parts of the FASB Codification lately and specifically stumbled into some of the more complex areas of U.S. GAAP, you'll note that U.S. GAAP can be hard and sometimes difficult to interpret. Even for seasoned professionals with years of experience, knowing how to account for a transaction or present a certain transaction within a financial statement can be hard. Look at the vast number of technical accounting and/or accounting policy positions included within some entities' accounting/finance departments. If U.S. GAAP was easy to read, easy to apply, and easy to understand from an investors standpoint, so much specialized knowledge from these experts would not be needed. If U.S. GAAP is hard for seasoned professionals, how easy is it to understand for an uninformed investor? Does an investor know what goodwill is? Does an investor know it's not amortized but tested for impairment? The questions can go on and on. How well informed is an everyday investor about how an entity accounts for a significant acquisition or a significant disposition? This begs the question, if U.S. GAAP is the gold standard, why are companies increasingly using more and more non-GAAP financial measures to present their financial and operating performance?

The trouble with GAAP-based financial statements was an area that was addressed by McKinsey & Company in its article "Building a better income statement". In the article, the company notes the following:

"Strict adherence to the conceptual principles of accounting often leads to confusion and distortions in an income statement. When companies make an acquisition, for example, GAAP requires that they allocate part of the difference between the purchase price and current market value to intangible assets. It then requires companies to amortize the value of those assets over some period of time, reducing their future earnings—in the same way they would depreciate physical assets. The calculation is theoretically consistent but provides no insight into future required cash investments. The annual amortization of acquired intangibles is a noncash expense and, unlike physical assets, companies either don't replace them or, if they do invest in them, those investments show up as expenses, not on the balance sheet.

Not surprisingly, we haven't seen any investors or companies using the amortization of intangibles for analysis or valuation work. Most sophisticated investors we talk to tell us they add the amortized value of these intangibles back into income when they analyze a company's performance—as do most of the

companies that report non-GAAP numbers.

A bigger problem with GAAP is its emphasis on producing a single number, net income, that is supposed to be useful to the company, as well as its investors and creditors. But sophisticated investors don't care about reported net income. They want to know its components—or, specifically, to be able to distinguish operating items (sales to customers less the costs of those sales) from nonoperating items (interest income or interest expense). They also want to know which items are likely to be recurring and which are likely to be nonrecurring (that is, restructuring charges). Finally, they want to know which items are real and which, like the amortization of intangibles, are merely accounting concepts.”

Why Do Regulators Care About Non-Financial Measures?

Simply put, the use of U.S. GAAP provides uniformity and comparability in how entities report their financial performance. When everyone is applying the same U.S. GAAP, in a perfect world it results in a near apples-to-apples comparison. However, what if a group of entities in a given sector are reporting performance using different metrics. In this case, investors are left struggling with how to compare two entities or compare an entity to its industry average. What if Entity A only provides cash from operating activities (a GAAP measure) but Entity B provides both cash from operations and free cash flow. Which term is more relevant and how do you compare the two?

One of the overarching principles with respect to non-GAAP financial measures is that they cannot be misleading. In other words, they can't be used in a way which seemingly shows a company is doing better than its counterpart who is not using the same non-GAAP financial measures (if it's not the case). Simply put, the SEC is watching. To highlight this, refer to the following Exhibit for an overview of why the SEC continues to have a heightened interest in this area.

Exhibit 2-5: The CPA Journal

The Expanding Use of Non-GAAP Financial Measures - Understanding their Utility and Regulatory Limitations

When they first began to be used, non-GAAP earnings were presented in accordance with GAAP but would highlight a material change in the operating structure or accounting method of the company. In the late 1990s, non-GAAP financial measures evolved into a way for companies to exclude certain nonrecurring revenues or expenses from the GAAP-based earnings number. The motive for this adjustment was to eliminate these revenues or expenses to provide investors with a greater degree of understanding of the company's ongoing core business; however, a lack of guidance gave companies the opportunity to report potentially misleading non-GAAP financial measures.

The SEC has become proactive in providing guidance for and monitoring of the use of non-GAAP financial measures after companies have presented potentially misleading non-GAAP measures. It is currently focusing on the comparability of non-GAAP financial measures across periods and the use of creative accounting principles. Financial reporting executives and CPAs are encouraged to continue to monitor the SEC and IASB for future guidance relating to non-GAAP financial measures.

We know the SEC cares about the topic of non-GAAP financial measures, but what about the FASB? As noted on the FASB's previously referenced online article, the FASB is actually using the increased use of non-GAAP financial measures to determine if improvements are needed in GAAP. In other words, while the FASB likes to regard U.S. GAAP as the gold standard, then why do entities choose to make such extensive use of non-GAAP financial measures. Refer to an excerpt from that article included below which delves into this discussion more:

We recently discussed non-GAAP reporting with our Financial Accounting Standards Advisory Council (FASAC). FASAC members informed us that investors rely on non-GAAP measures primarily because

they are derived from GAAP information and affirmed our thinking about the potential standard-setting implications of non-GAAP reporting. They encouraged us to continue to monitor the use of non-GAAP measures and observed that certain non-GAAP adjustments might help the FASB identify where improvements could be considered.

Another way to learn from non-GAAP measures is to identify cases in which changes to GAAP might reduce the need for non-GAAP reporting. Some non-GAAP reporting develops because investors request and help shape the information provided by companies. Changing GAAP in these situations can help develop a standardized approach that is more consistent with common reporting practices that investors find useful. In other words, it would improve the credibility of financial reporting.

To give one recent example, the FASB decided that debt-valuation adjustments for a company's own credit risk should be recorded through other comprehensive income rather than net income. This change eliminates the need for companies to make non-GAAP adjustments for such gains and losses, which many investors found to be counterintuitive.

Where Do I Look to For Guidance?

While this chapter is a good start for some of the general insights and some of key observations from the Big 4 accounting firms and regulators, it's not comprehensive by no stretch of the imagination. Unfortunately, there is not a single authoritative publication by the SEC or the FASB which concisely summarizes all of the rules and regulations with respect to non-GAAP financial measures. In its publication titled "To GAAP or non-GAAP? The SEC is watching" the public accounting firm PwC notes the following with respect to the source of guidance with respect to non-GAAP financial measures.

"Unless you are steeped in the SEC rules covering non-GAAP information, they can be confusing. Part of this is caused by rules that are dependent on where or how the non-GAAP information is communicated. We summarize elements of the various rules but cannot address all aspects of the regulations and interpretive guidance. For more information, see the SEC's website at www.sec.gov.

Which non-GAAP rules govern the presentation of non-GAAP measures depends on where the disclosure will appear. The disclosure requirements vary based on the applicable regulation. Regardless of the source, all of the governing regulations share an overarching principle that non-GAAP information cannot be misleading."

The above answer is probably not comforting for someone wanting to become more well-versed in the area of non-GAAP financial measures. SEC Regulations are difficult to read and span hundreds if not thousands of pages. Getting a handle on how the respective SEC Regulations are organized, not to mention how to interpret the actual guidance, is a job best left handled to those with several, if not many, years of experience in that niche area of accounting. However, you have to start somewhere.

As noted in the article excerpt above, the relevant rules are dependent on where/how the non-GAAP information is presented. Recall that there are many areas where non-GAAP information is presented. One of these is earnings releases issued by most entities on a quarterly basis. For this area, the respective guidance is within Form 8-K Item 2.02. If instead, you're looking for the relevant guidance with respect to an entity's Form 10-K, you'd instead look to Regulation S-K. Finally, if you're looking for guidance as it relates to earnings calls or investor presentations, you would look to Regulation G.

As you'll note, knowing where to go for the governing regulations is one of biggest challenges. Actually going into the respective regulations and trying to find what you're looking for, therein lies the even bigger challenge. However, you should note that Regulations G and S-K are the areas that you should be most familiar with as it relates to non-GAAP financial measures. We'll explore the first Regulation in the next section of this chapter.

Regulation G

While we've harped on the fact that you have to look to many different places for guidance, and that guidance depends on the information for which the non-GAAP financial measure is included, Regulation G is a great starting point to develop a base line understanding of the principles/requirements related to non-GAAP financial measures.

How Did We Get Here?

Regulation G, and many other non-GAAP financial measures rules and regulations came about as a direct result of the Sarbanes Oxley Act of 2002. Regulation G, in fact, was just one of several new/revised Regulations as the SEC took on the task of reigning in the rampant use of non-GAAP financial measures. Refer to a summary in the Exhibit below.

Exhibit 2-6: SEC Final Rule – Conditions for Use of Non-GAAP Financial Measures

As directed by the Sarbanes-Oxley Act of 2002, we are adopting new rules and amendments to address public companies' disclosure or release of certain financial information that is calculated and presented on the basis of methodologies other than in accordance with generally accepted accounting principles (GAAP). We are adopting a new disclosure regulation, Regulation G, which will require public companies that disclose or release such non-GAAP financial measures to include, in that disclosure or release, a presentation of the most directly comparable GAAP financial measure and a reconciliation of the disclosed non-GAAP financial measure to the most directly comparable GAAP financial measure. We also are adopting amendments to Item 10 of Regulation S-K and Item 10 of Regulation S-B to provide additional guidance to those registrants that include non-GAAP financial measures in Commission filings. Additionally, we are adopting amendments to Form 20-F to incorporate into that form the amendments to Item 10 of Regulation S-K. Finally, we are adopting amendments that require registrants to furnish to the Commission, on Form 8-K, earnings releases or similar announcements.

Scope

Before diving too deep into Regulation G, it's important that you understand what entities are within the scope of the Regulation. As noted in the SEC's Final Rule ("Conditions for Use of Non-GAAP Financial Measures"), the SEC notes that Regulation G applies to "... any entity that is required to file reports pursuant to Sections 13(a) or 15(d) of the Exchange Act, other than a registered investment company." Perhaps more importantly, you should note that Regulation G "...applies whenever such a registrant, or a person acting on its behalf, discloses publicly or releases publicly any material information that includes a non-GAAP financial measure."

In the SEC's Final Rule, the SEC also notes that non-GAAP financial measures do not include financial information that does not have the effect of providing numerical measures that are different from the comparable GAAP measure. The SEC further notes that examples of measures to which Regulation G does not apply include the following:

- disclosure of amounts of expected indebtedness, including contracted and anticipated amounts;
- disclosure of amounts of repayments that have been planned or decided upon but not yet made;
- disclosure of estimated revenues or expenses of a new product line, so long as such amounts were estimated in the same manner as would be computed under GAAP; and
- measures of profit or loss and total assets for each segment required to be disclosed in accordance with GAAP.

Refer to the following Exhibit which provides additional context and explanation from the Final Rule related to Regulation G and what financial measures are in scope.

Exhibit 2-7: SEC Final Rule – Discussion of the Definition of Non-GAAP Financial Measures

An example of a non-GAAP financial measure would be a measure of operating income that excludes one or more expense or revenue items that are identified as "non-recurring." Another example would be EBITDA, which could be calculated using elements derived from GAAP financial presentations but, in any event, is not presented in accordance with GAAP. Examples of ratios and measures that would not be non-GAAP financial measures would include sales per square foot (assuming that the sales figure was calculated in accordance with GAAP) or same store sales (again assuming the sales figures for the stores were calculated in accordance with GAAP).

An example of a ratio that would not be a non-GAAP financial measure would be a measure of operating margin that is calculated by dividing revenues into operating income, where both revenue and operating income are calculated in accordance with GAAP. Conversely, an example of a ratio that would be a non-GAAP financial measure would be a measure of operating margin that is calculated by dividing revenues into operating income, where either revenue or operating income, or both, were not calculated in accordance with GAAP.

We received comment regarding the exclusion of financial measures used for regulatory purposes from the definition. In response to these comments, we have provided an exclusion from the definition of "non-GAAP financial measure" for financial measures required to be disclosed by GAAP, Commission rules, or a system of regulation of a government or governmental authority or self-regulatory organization that is applicable to the registrant. Examples of such financial measures would include measures of capital or reserves calculated for such a regulatory purpose.

General Requirements of Regulation G

The overarching principle outlined within Regulation G includes the following:

“A registrant, or a person acting on its behalf, shall not make public a non-GAAP financial measure that, taken together with the information accompanying that measure, contains an untrue statement of a material fact or omits to state a material fact necessary in order to make the presentation of the non-GAAP financial measure, in light of the circumstances under which it is presented, not misleading”

While this general disclosure requirement is fairly simple to understand (the principle that is – preventing information from being misleading), let's explore further how this general requirement is more specifically prescribed within the guidance of Regulation G. Overall, Regulation G requires that whenever a registrant, or person acting on its behalf, publicly discloses material information that includes a non-GAAP financial measure, the registrant must accompany that non-GAAP financial measure with all of the following information:

- A presentation of the most directly comparable financial measure calculated and presented in accordance with GAAP
- A reconciliation (by schedule or other clearly understandable method), which is quantitative for historical non-GAAP measures presented, and quantitative, to the extent available without unreasonable efforts, for forward-looking information, of the differences between the non-GAAP financial measure disclosed or released with the most comparable financial measure, or measures calculated and presented in accordance with GAAP identified in above

As you'll note from above, the first requirement is that when an entity provides certain non-GAAP financial information, they are required to also include the most comparable measure calculated in accordance with U.S. GAAP. Take the following non-GAAP disclosure (related to constant currency) which was presented in an earlier exhibit from HP's annual earnings release:

Personal Systems net revenue was \$11.8 billion, up 13% year over year (up 10% in constant currency) with a 6.5% operating margin. Consumer PCs net revenue decreased 3% and Commercial PCs net revenue increased 25%. Total units were down 9% with Notebooks units down 12% and Desktops units up 2%.

Printing net revenue was \$4.9 billion, up 1% year over year (flat in constant currency) with a 17.0% operating margin. Total hardware units were down 26% with Consumer units down 28% and Commercial units down 12%. Consumer net revenue was down 6% and Commercial net revenue was up 19%. Supplies net revenue was down 2% (down 3% in constant currency).

In the two paragraphs above, you will note that while the entity chose to present the revenue increase in constant currency (i.e., a non-GAAP financial measure), the entity also provided the most comparable U.S. GAAP measure with change in revenue. In other words, had the entity instead made the following excerpted disclosures, this would have likely conflicted with the rules include within Regulation G

- Personal Systems net revenue was \$11.8 billion, up 10% in constant currency
- Printing net revenue was \$4.9 billion, flat in constant currency
- Supplies net revenue was down 3% in constant currency

In each of the above three “hypothetical” excerpts, the entity has provided a non-GAAP financial measure but has not included a comparable GAAP measure. To further emphasize, refer to the following Exhibit which provides an excerpt from a hypothetical entity.

Exhibit 2-8: Example Company ABC

Inappropriate Disclosure Under Regulation G

- Fiscal 2021 free cash flow of \$4.1 billion
- Fourth quarter non-GAAP diluted net EPS of \$0.12, above the previously provided outlook of \$0.09 to \$0.10 per share

Acceptable Disclosure Under Regulation G

- Fiscal 2021 net cash flow provided by operating activities of \$5.3 billion, free cash flow of \$4.1 billion
- Fourth quarter GAAP diluted EPS of \$0.14, non-GAAP diluted net EPS of \$0.12

In order to help illustrate the reconciliation requirement, let’s take a look at how Best Buy, in its August 24, 2021 press release announcing its second quarter results, provided this reconciliation. Note that this is only an example and does include all of the other applicable exhibits and other discussion/disclaimers with respect to non-GAAP financial measures.

Exhibit 2-9: BEST BUY CO., INC. Reconciliation of Non-GAAP Financial Measures

The following information provides reconciliations of the most comparable financial measures presented in accordance with accounting principles generally accepted in the U.S. (GAAP financial measures) to presented non-GAAP financial measures. The company believes that non-GAAP financial measures, when reviewed in conjunction with GAAP financial measures, can provide more information to assist investors in evaluating current period performance and in assessing future performance. For these reasons, internal management reporting also includes non-GAAP financial measures. Generally, presented non-GAAP financial measures include adjustments for items such as restructuring charges, price-fixing settlements, goodwill impairments, gains and losses on investments, intangible asset amortization, certain acquisition-related costs and the tax effect of all such items. In addition, certain other items may be excluded from non-GAAP financial measures when the company believes this provides greater clarity to management and investors. These non-GAAP financial measures should be considered in addition to, and not superior to or as a substitute for, the GAAP financial measures presented in this earnings release and the company's financial statements and other publicly filed reports. Non-GAAP financial measures as presented herein may not be comparable to similarly titled measures used by other companies.

	Three Months Ended			Three Months Ended		
	July 31, 2021			August 1, 2020		
	Domestic	International	Consolidated	Domestic	International	Consolidated
SG&A	\$ 1,849	\$ 160	\$ 2,009	\$ 1,560	\$ 142	\$ 1,702
<i>% of revenue</i>	16.8 %	19.1 %	17.0 %	17.1 %	18.2 %	17.2 %
Intangible asset amortization ¹	(20)	-	(20)	(20)	-	(20)
Non-GAAP SG&A	\$ 1,829	\$ 160	\$ 1,989	\$ 1,540	\$ 142	\$ 1,682
<i>% of revenue</i>	16.6 %	19.1 %	16.8 %	16.9 %	18.2 %	17.0 %
Operating income	\$ 757	\$ 40	\$ 797	\$ 524	\$ 44	\$ 568
<i>% of revenue</i>	6.9 %	4.8 %	6.7 %	5.7 %	5.6 %	5.7 %
Intangible asset amortization ¹	20	-	20	20	-	20
Restructuring charges ²	-	4	4	-	-	-
Non-GAAP operating income	\$ 777	\$ 44	\$ 821	\$ 544	\$ 44	\$ 588
<i>% of revenue</i>	7.1 %	5.3 %	6.9 %	6.0 %	5.6 %	5.9 %
Effective tax rate			8.0 %			22.9 %
Intangible asset amortization ¹			0.4 %			0.1 %
Non-GAAP effective tax rate			8.4 %			23.0 %

The differences are apparent in the example above. As you'll note, while the non-GAAP measure is included in both examples, the acceptable alternative above presents the most directly comparable GAAP measure.

Disclosure by Other Means

The example above with the hypothetical press release excerpts is simple to understand and relatively easy to apply (especially for an entity that has been a public company and has released public financial information for several years). However, there are obviously times when information is not released through a press release or a type of SEC filing (e.g., Form 10-Q, Form 10-K, etc.), but is instead issued by other means such as the following:

- Orally
- Telephonically
- Through a webcast

Even though the information is being disseminated through another “non-written” channel, the overall requirements of Regulation G hold true. In short, the Regulation requires that an entity post that information on their website and disclose the location and availability of the required accompanying information during its presentation.

Regulation S-K

You may have seen this Regulation from time to time. In short, Regulation S-K includes the SEC rules that prescribe the detailed disclosure requirements applicable to registration statements, periodic reports (e.g., Form 10-Qs and Form 10-Ks), proxy statements, and other filings under the Securities Act and the Exchange Act. When the SEC issued its “Final Rule: Conditions for Use of Non-GAAP Financial Measures” previously referenced, in doing so, the SEC provided certain amendments to Regulation S-K to address the topic of non-GAAP financial measures (this was in addition to releasing the new Regulation G we just discussed).

Recall from the earlier discussion that depending on what type of information includes the non-GAAP financial measure, that will generally dictate which Regulation is applicable. For earnings calls and certain press releases, Regulation G is the go-to. However, for filings with the SEC such as 10-Qs and 10-Ks, Regulation S-K (Item 10) is the go-to.

The amendments included in Regulation S-K require entities using non-GAAP financial measures in SEC filings to provide the following:

- a presentation, with equal or greater prominence, of the most directly comparable financial measure calculated and presented in accordance with GAAP;
- a reconciliation (by schedule or other clearly understandable method), which shall be quantitative for historical non-GAAP measures presented, and quantitative, to the extent available without unreasonable efforts, for forward-looking information, of the differences between the non-GAAP financial measure disclosed or released with the most directly comparable financial measure or measures calculated and presented in accordance with GAAP;
- a statement disclosing the reasons why the registrant's management believes that presentation of the non-GAAP financial measure provides useful information to investors regarding the registrant's financial condition and results of operations; and
- to the extent material, a statement disclosing the additional purposes, if any, for which the registrant's management uses the non-GAAP financial measure that are not otherwise disclosed.

As you'll note from the above requirements, they are similar in some respects to those presented earlier when we discussed Regulation G. For example, both Regulation G and Regulation S-K require a comparable GAAP presentation along with an appropriate of reconciliation. However, Regulation S-K takes it a step further and requires that an entity also disclose reasons why the entity believes that presentation of the non-GAAP financial measure provides useful information to investors regarding the registrant's financial condition and results of operations.

In order to help illustrate how these requirements are applied, let's take a look at a real-world example from Walmart's Form 10-Q for the quarterly period ending October 31, 2021. As with all other SEC filings, you can directly access this SEC filing on the SEC.gov site. In its filing, Walmart identifies three separate non-GAAP financial measures which include the following:

- Return on Assets
- Return on Investments
- Free Cash Flow

Refer to the following Exhibit which provides the relevant excerpts from the filing. In it, you'll note that the entity identifies the non-GAAP measure, describes the comparable GAAP measure (note: it's presented elsewhere and not included in the following exhibit), and also addresses how the entity believes presentation is useful information for investors regarding their results of operations.

Exhibit 2-10: Walmart Inc. - Form 10-Q for the quarterly period ending October 31, 2021

Note: Certain sections omitted for presentation purposes

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

Return on Assets and Return on Investment

We include Return on Assets ("ROA"), the most directly comparable measure based on our financial statements presented in accordance with generally accepted accounting principles in the U.S. ("GAAP"), and Return on Investment ("ROI") as metrics to assess returns on assets. While ROI is considered a non-GAAP financial measure, management believes ROI is a meaningful metric to share with investors because it helps investors assess how effectively Walmart is deploying its assets. Trends in ROI can fluctuate over time as management balances long-term strategic initiatives with possible short-term impacts.

Our calculation of ROI is considered a non-GAAP financial measure because we calculate ROI using financial measures that exclude and include amounts that are included and excluded in the most directly comparable GAAP financial measure. For example, we exclude the impact of depreciation and amortization from our reported operating income in calculating the numerator of our calculation of ROI. As mentioned above, we consider ROA to be the financial measure computed in accordance with GAAP most directly comparable to our calculation of ROI. ROI differs from ROA (which is consolidated net income for the period divided by average total assets for the period) because ROI: adjusts operating income to exclude certain expense items and adds interest income; and adjusts total assets for the impact of accumulated depreciation and amortization, accounts payable and accrued liabilities to arrive at total invested capital. Because of the adjustments mentioned above, we believe ROI more accurately measures how we are deploying our key assets and is more meaningful to investors than ROA. Although ROI is a standard financial measure, numerous methods exist for calculating a company's ROI. As a result, the method used by management to calculate our ROI may differ from the methods used by other companies to calculate their ROI.

Free Cash Flow

Free cash flow is considered a non-GAAP financial measure. Management believes, however, that free cash flow, which measures our ability to generate cash from our business operations, is an important financial measure for use in evaluating the Company's financial performance. Free cash flow should be considered in addition to, rather than as a substitute for, consolidated net income as a measure of our performance and net cash provided by operating activities as a measure of our liquidity. See Liquidity and Capital Resources for discussions of GAAP metrics including net cash provided by operating activities, net cash used in investing activities and net cash used in financing activities.

We define free cash flow as net cash provided by operating activities in a period minus payments for property and equipment made in that period. Walmart's definition of free cash flow is limited in that it does not represent residual cash flows available for discretionary expenditures due to the fact that the measure does not deduct the payments required for debt service and other contractual obligations or payments made for business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our Condensed Consolidated Statements of Cash Flows. Although other companies report their free cash flow, numerous methods may exist for calculating a company's free cash flow. As a result, the method used by management to calculate our free cash flow may differ from the methods used by other companies to calculate their free cash flow.

You should note that in addition to the information provided as excerpted in the above Exhibit, Walmart also included relevant reconciliations (as required by Regulation S-K) for each of the above non-GAAP financial measures. Let's take a look at another example from Lowe's Form 10-Q for the quarterly period ended

October 29, 2021. In its form, the entity calls out the following as its non-GAAP financial measures:

- Adjusted Diluted Earnings Per Share
- Return on Invested Capital

Refer to the following Exhibit which provides the relevant excerpts from the filing. In it, you'll note that the entity identifies the non-GAAP measure, describes the comparable GAAP measure, and also addresses how the entity believes presentation is useful information for investors regarding their results of operations.

Exhibit 2-11: Lowes Companies, Inc.

Form 10-Q for the quarterly period ending October 29, 2021

Note: Certain sections omitted for presentation purposes

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

Adjusted Diluted Earnings Per Share

Adjusted diluted earnings per share is considered a non-GAAP financial measure. The Company believes this non-GAAP financial measure provides useful insight for analysts and investors in evaluating what management considers the Company's core financial performance. Adjusted diluted earnings per share excludes the impact of discrete items, further described below, not contemplated in the Company's business outlook for the third quarter of fiscal 2020. Unless otherwise noted, the income tax effect of these adjustments is calculated using the marginal rate for the period.

Return on Invested Capital

Return on Invested Capital (ROIC) is calculated using a non-GAAP financial measure. Management believes ROIC is a meaningful metric for analysts and investors as a measure of how effectively the Company is using capital to generate profits. Although ROIC is a common financial metric, numerous methods exist for calculating ROIC. Accordingly, the method used by our management may differ from the methods used by other companies. We encourage you to understand the methods used by another company to calculate ROIC before comparing its ROIC to ours.

Let's take a look at another example to help illustrate how these requirements are applied in the real world. The next example is from Best Buy. Refer to the following Exhibit which provides the relevant excerpts from their Form 10-Q for the quarterly period ended October 30, 2021.

Exhibit 2-12: Best Buy Co, Inc.

Form 10-Q for the quarterly period ending October 30, 2021

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

Non-GAAP Financial Measures

This MD&A includes financial information prepared in accordance with accounting principles generally accepted in the United States ("GAAP"), as well as certain adjusted or non-GAAP financial measures, such as constant currency, non-GAAP operating income, non-GAAP effective tax rate and non-GAAP diluted earnings per share ("EPS"). We believe that non-GAAP financial measures, when reviewed in conjunction with GAAP financial measures, can provide more information to assist investors in evaluating current period performance and in assessing future performance. For these reasons, our internal management reporting also includes non-GAAP financial measures. Generally, our non-GAAP financial measures include adjustments for items such as restructuring charges, goodwill impairments, price-fixing settlements, gains and losses on investments, intangible asset amortization, certain acquisition-related transaction costs and the tax effect of all such items. In addition, certain other items may be excluded from non-GAAP financial measures when we believe doing so provides greater clarity to management and our investors. These non-GAAP financial measures should be considered in addition to, and not superior to or as a substitute for, GAAP financial measures. We strongly encourage investors and shareholders to review our financial statements and publicly-filed reports in their entirety and not to rely on any single financial measure. Non-GAAP financial measures as presented herein may not be comparable to similarly titled measures used by other companies.

In our discussions of the operating results of our consolidated business and our International segment, we sometimes refer to the impact of changes in foreign currency exchange rates or the impact of foreign currency exchange rate fluctuations, which are references to the differences between the foreign currency exchange rates we use to convert the International segment's operating results from local currencies into U.S. dollars for reporting purposes. We also may use the term "constant currency", which represents results adjusted to exclude foreign currency impacts. We calculate those impacts as the difference between the current period results translated using the current period currency exchange rates and using the comparable prior period currency exchange rates. We believe the disclosure of revenue changes in constant currency provides useful supplementary information to investors when there are significant fluctuations in currency rates.

Refer to the Consolidated Non-GAAP Financial Measures section below for detailed reconciliations of items impacting non-GAAP operating income, non-GAAP effective tax rate and non-GAAP diluted EPS in the presented periods.

Let's take a look at one final excerpt of a non-GAAP financial measure disclosure. Like the previous Exhibit, only excerpts are presented to help illustrate the real-world application. This next Exhibit provides excerpts from Sysco's Form 10-K for the fiscal year ended July 3, 2021.

Exhibit 2-13: Sysco

Form 10-K for the fiscal year ended July 3, 2021

Note: Certain sections omitted for presentation purposes

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Our discussion of our results includes certain non-GAAP financial measures, including EBITDA and adjusted EBITDA, that we believe provide important perspective with respect to underlying business trends. Other than free cash flow, any non-GAAP financial measures will be denoted as adjusted measures to remove the impact of restructuring and transformational project costs consisting of: (1) restructuring charges, (2) expenses associated with our various transformation initiatives and (3) facility closure and severance charges; and by acquisition-related costs consisting of: (1) intangible amortization expense related to the fiscal 2017 acquisition of Cucina Lux Investments Limited (the Brakes Acquisition) and (2) due diligence and integration costs incurred in fiscal 2021 associated with the acquisition of Greco and Sons, which closed in August 2021.

The company uses these non-GAAP measures when evaluating its financial results, as well as for internal planning and forecasting purposes. These financial measures should not be used as a substitute for GAAP measures in assessing the company's results of operations for periods presented. An analysis of any non-GAAP financial measure should be used in conjunction with results presented in accordance with GAAP. Any metric within this section referred to as "adjusted" will reflect the applicable impact of Certain Items. More information on the rationale for the use of these measures and reconciliations to GAAP numbers can be found under "Non-GAAP Reconciliations."

Sysco seeks to meet its strategic goals by continually measuring its success in its key performance metrics that drive stakeholder value through sales growth and capital allocation and deployment. The COVID-19 pandemic has significantly impacted the financial metrics used by management to evaluate the business, and certain metrics continue to be a near- and long-term focus, while other metrics do not provide meaningful comparable information in the near-term. We believe the following are our most significant performance metrics in our current business environment:

- Adjusted operating income growth (non-GAAP);
- Adjusted diluted earnings per share growth (non-GAAP);
- Adjusted EBITDA (non-GAAP);
- Case volume growth by customer type for U.S. Broadline operations;
- Sysco brand penetration for U.S. Broadline operations; and
- Free cash flow (non-GAAP).

We use these financial metrics and related computations, as well as sales and gross profit growth, to evaluate our business and to plan for near- and long-term operating and strategic decisions. We believe it is useful to provide investors with the same financial information that we use internally to make comparisons of our historical operating results, identify trends in our underlying operating results and evaluate our business.

Prior to these examples, we touched on the amendments included in Regulation S-K that require entities using non-GAAP financial measures in SEC filings to also provide certain information. On the flip side of this is information that is prohibited by Regulation S-K. These include the following:

- excluding charges or liabilities that required, or will require, cash settlement, or would have required cash settlement absent an ability to settle in another manner, from non-GAAP liquidity measures, other than the measures EBIT and EBITDA;

- adjusting a non-GAAP performance measure to eliminate or smooth items identified as non-recurring, infrequent or unusual, when
 - the nature of the charge or gain is such that it is reasonably likely to recur within two years, or
 - there was a similar charge or gain within the prior two years;
- presenting non-GAAP financial measures on the face of the registrant's financial statements prepared in accordance with GAAP or in the accompanying notes;
- presenting non-GAAP financial measures on the face of any pro forma financial information required to be disclosed by Article 11 of Regulation S-X;
- using titles or descriptions of non-GAAP financial measures that are the same as, or confusingly similar to, titles or descriptions used for GAAP financial measures.

As you can note, the requirements for information that must be included and the prohibition on certain items as prescribed by Regulation S-K is more extensive than those rules outlined in Regulation G. As noted within the SEC's release of these amendments, the SEC noted the following with respect to this difference:

“The requirements and prohibitions for filed information are more extensive and detailed than those of Regulation G. The additional requirements and prohibitions are generally consistent with the staff's historical practice in situations where it has reviewed filings containing non-GAAP financial measures”

Unreasonable Effort Considerations

As we've already discussed, there is a reconciliation requirement prescribed by Regulation S-K (and Regulation G) as well. The intent of this reconciliation is to illustrate how a certain non-GAAP financial measure is being presented and how it compares to the closest related GAAP financial measure. For example, in the previous Exhibit which provides an overview of Best Buy's press release of its second quarter results, the entity included non-GAAP operating income as a measure. There, the entity also included a reconciliation which basically “walks back” to GAAP operating income by factoring in intangible asset amortization and certain restructuring charges. In other words, the entity bridges the gap between the non-GAAP financial measure and the closest related GAAP financial measure by including this reconciliation.

Often times this reconciliation is fairly routine. However, for certain non-GAAP financial measures, this reconciliation may be overly difficult, especially if it relates to new information or the facts and circumstances surrounding the metric make it overly difficult to reconcile appropriately. As a result, you'll note in the reconciliation requirement as reflected below, there is an “unreasonable effort” exception noted.

- a reconciliation (by schedule or other clearly understandable method), which shall be quantitative for historical non-GAAP measures presented, and quantitative, to the extent available **without unreasonable efforts**, for forward-looking information, of the differences between the non-GAAP financial measure disclosed or released with the most directly comparable financial measure or measures calculated and presented in accordance with GAAP;

Refer to the following Exhibit which provides additional context from the SEC's final rules with respect to reasonable effort exception.

Exhibit 2-14: SEC Final Rule – Discussion of the Definition of Non-GAAP Financial Measures

Unreasonable Effort “Exception”

We had proposed that the requirements for a reconciliation to the most directly comparable GAAP financial measure be slightly more stringent than those set forth under Regulation G. In particular, in filings with the Commission, it was proposed that there not be an "unreasonable effort" exception for forward-looking information to the requirement for a quantitative reconciliation between the non-GAAP financial measure and the comparable GAAP financial measure. Commenters expressed the view that the need for such an exception was present equally in disclosure that was filed with the Commission and disclosure that was not filed. In response to these comments, we have revised the requirement for filed documents to include the same exception as in Regulation G. Accordingly, with regard to the quantitative reconciliation of non-GAAP financial measures that are forward-looking, Item 10 of Regulation S-K and Item 10 of Regulation S-B require a schedule or other presentation detailing the differences between the forward-looking non-GAAP financial measure and the appropriate forward-looking GAAP financial measure. If the GAAP financial measure is not accessible on a forward-looking basis, the registrant must disclose that fact and provide reconciling information that is available without an unreasonable effort. Furthermore, the registrant must identify information that is unavailable and disclose its probable significance.

As you'll note from the Exhibit above and the preceding guidance, entities cannot simply assert that it is too hard to provide the reconciliation. If they do take this position, significant additional disclosures, and the reasons thereof, are required to be made.

Boilerplate Concerns

Boilerplate is essentially any text, such as a financial statement disclosure, that is/can be reused more than once in a new context without any substantial changes to the original. Unfortunately, boilerplate disclosures are commonplace throughout the industry.

This boilerplate risk was a concern of the SEC when these Regulations were issued. That said, the SEC doesn't want entities to just simply “rinse and repeat” a disclosure. Instead, they want clear, pertinent, and current information about the non-GAAP financial measure. In its release of the final rules, the SEC noted the following with respect to the risk of boilerplate disclosures:

“The required statements of the purposes for which management uses the non-GAAP financial measure and the utility of the information to investors should not be boilerplate. We intend these statements to be clear and understandable. We also intend these statements to be specific to the non-GAAP financial measure used, the registrant, the nature of the registrant's business and industry, and the manner in which management assesses the non-GAAP financial measure and applies it to management decisions.”

SEC Compliance & Disclosure Interpretations

Up to this point in the course, we've addressed the main requirements outlined within Regulation G and Regulation S-K released by the SEC many years ago. Back in 2016, the SEC issued several Compliance & Disclosure Interpretations (i.e., interpretations of the rules and regulations) that were specific to the use of non-GAAP financial measures. In December 2022, the SEC provided additional interpretations as well. You can access a full listing of these interpretations [here](#). Some of these rules/interpretations are very specific and outside the scope of this course, however, there are several interpretations that we'll review in this section of this course that have broader appeal. Many of these interpretations deal with the reconciliation and how it should be properly presented, but many of the other Q&As address several other important areas.

Misleading Concerns

Recall that the overall principle is that a non-GAAP financial measure cannot be misleading. While this is fairly simple to understand, sometimes the concept of the term misleading can be interpreted differently. As a result of this, the SEC has provided three interpretations that primarily address this concept. Refer below for an overview of these three interpretations sourced from the SEC's Compliance & Disclosure Interpretations.

Question 100.01

Can certain adjustments, although not explicitly prohibited, result in a non-GAAP measure that is misleading?

Answer: Yes. Certain adjustments may violate Rule 100(b) of Regulation G because they cause the presentation of the non-GAAP measure to be misleading. For example, presenting a performance measure that excludes normal, recurring, cash operating expenses necessary to operate a registrant's business could be misleading.

Question 100.02

Can a non-GAAP measure be misleading if it is presented inconsistently between periods?

Answer: Yes. For example, a non-GAAP measure that adjusts a particular charge or gain in the current period and for which other, similar charges or gains were not also adjusted in prior periods could violate Rule 100(b) of Regulation G unless the change between periods is disclosed and the reasons for it explained. In addition, depending on the significance of the change, it may be necessary to recast prior measures to conform to the current presentation and place the disclosure in the appropriate context.

Question 100.03

Can a non-GAAP measure be misleading if the measure excludes charges, but does not exclude any gains?

Answer: Yes. For example, a non-GAAP measure that is adjusted only for non-recurring charges when there were non-recurring gains that occurred during the same period could violate Rule 100(b) of Regulation G.

Earnings Management

It may be interpreted by some that the use of non-GAAP financial measures are intended to be used to help “smooth” over earnings. For example, take the situation where an entity receives a very significant legal settlement in the last month of a quarter and recognizes it in income (based on U.S. GAAP requirements). In this situation, the receipt and recognition of this settlement may significantly skew the earnings per share metric (a GAAP measure). As a result, an entity would likely exclude this significant settlement in order to show a more apples to apples comparison quarter over quarter. If not, an investor may see the significant spike in EPS from the prior period and draw inappropriate conclusions about the entity’s performance.

However, there may be times when entities abuse the use of non-GAAP financial measures in order smooth items identified as non-recurring, infrequent or unusual. While this is generally inappropriate at times, in other times it is not. Refer to the following interpretation on this topic released by the SEC.

Question 102.03

Item 10(e) of Regulation S-K prohibits adjusting a non-GAAP financial performance measure to eliminate or smooth items identified as non-recurring, infrequent or unusual when the nature of the charge or gain is such that it is reasonably likely to recur within two years or there was a similar charge or gain within the prior two years. Is this prohibition based on the description of the charge or gain, or is it based on the nature of the charge or gain?

Answer: The prohibition is based on the description of the charge or gain that is being adjusted. It would not be appropriate to state that a charge or gain is non-recurring, infrequent or unusual unless it meets the specified criteria. The fact that a registrant cannot describe a charge or gain as non-recurring, infrequent or unusual, however, does not mean that the registrant cannot adjust for that charge or gain. Registrants can make adjustments they believe are appropriate, subject to Regulation G and the other requirements of Item 10(e) of Regulation S-K.

Prominent Presentation

As you recall, when a non-GAAP financial measure is presented, the most comparable GAAP financial measure must also be presented. More specifically, Item 10(e)(1)(i)(A) of Regulation S-K provides that “...an issuer, when including a non-GAAP financial measure in a filing with the Commission, must include a presentation, with **equal or greater prominence**, of the most directly comparable financial measure or measures calculated and presented in accordance with GAAP.”

Again, the concept of equal or greater prominence is something that can be interpreted differently by different entities. As a result, this is an area where the SEC provided additional interpretations. Specifically, in Question 102.10 on the SEC’s Compliance & Disclosure Interpretations, the SEC notes the following as examples where a non-GAAP financial disclosure is more prominent (i.e., “don’t do this”):

- Presenting a full income statement of non-GAAP measures or presenting a full non-GAAP income statement when reconciling non-GAAP measures to the most directly comparable GAAP measures;
- Omitting comparable GAAP measures from an earnings release headline or caption that includes non-GAAP measures;
- Presenting a non-GAAP measure using a style of presentation (e.g., bold, larger font) that emphasizes the non-GAAP measure over the comparable GAAP measure;
- A non-GAAP measure that precedes the most directly comparable GAAP measure (including in an earnings release headline or caption);
- Describing a non-GAAP measure as, for example, “record performance” or “exceptional” without at least an equally prominent descriptive characterization of the comparable GAAP measure;
- Providing tabular disclosure of non-GAAP financial measures without preceding it with an equally prominent tabular disclosure of the comparable GAAP measures or including the comparable GAAP measures in the same table;

- Excluding a quantitative reconciliation with respect to a forward-looking non-GAAP measure in reliance on the “unreasonable efforts” exception in Item 10(e)(1)(i)(B) without disclosing that fact and identifying the information that is unavailable and its probable significance in a location of equal or greater prominence; and
- Providing discussion and analysis of a non-GAAP measure without a similar discussion and analysis of the comparable GAAP measure in a location with equal or greater prominence.

While the SEC provides examples in its interpretive guidance, the SEC does understand and recognize that “...whether a non-GAAP measure is more prominent than the comparable GAAP measure generally depends on the facts and circumstances in which the disclosure is made.”

Tax Impacts

The consideration of how tax impacts are presented is another area that is addressed by the SEC. Refer to the following question which addresses the situation of whether or not tax impacts on the adjustments should or should not be presented.

Question 102.11

How should income tax effects related to adjustments to arrive at a non-GAAP measure be calculated and presented?

Answer: A registrant should provide income tax effects on its non-GAAP measures depending on the nature of the measures. If a measure is a liquidity measure that includes income taxes, it might be acceptable to adjust GAAP taxes to show taxes paid in cash. If a measure is a performance measure, the registrant should include current and deferred income tax expense commensurate with the non-GAAP measure of profitability. In addition, adjustments to arrive at a non-GAAP measure should not be presented “net of tax.” Rather, income taxes should be shown as a separate adjustment and clearly explained.

EBIT & EBITDA

These are metrics that you came across in nearly every earnings release from a publicly traded entity. Given its importance, this is an area that is further addressed by the SEC within its Compliance & Disclosure Interpretations. In it, the SEC provides guidance on two specific issues as noted below.

Question 103.01

Exchange Act Release No. 47226 describes EBIT as "earnings before interest and taxes" and EBITDA as "earnings before interest, taxes, depreciation and amortization." What GAAP measure is intended by the term "earnings"? May measures other than those described in the release be characterized as "EBIT" or "EBITDA"? Does the exception for EBIT and EBITDA from the prohibition in Item 10(e)(1)(ii)(A) of Regulation S-K apply to these other measures?

Answer: "Earnings" means net income as presented in the statement of operations under GAAP. Measures that are calculated differently than those described as EBIT and EBITDA in Exchange Act Release No. 47226 should not be characterized as "EBIT" or "EBITDA" and their titles should be distinguished from "EBIT" or "EBITDA," such as "Adjusted EBITDA." These measures are not exempt from the prohibition in Item 10(e)(1)(ii)(A) of Regulation S-K, with the exception of measures addressed in Question 102.09. [Jan. 11, 2010]

Question 103.02

If EBIT or EBITDA is presented as a performance measure, to which GAAP financial measure should it be reconciled?

Answer: If a company presents EBIT or EBITDA as a performance measure, such measures should be reconciled to net income as presented in the statement of operations under GAAP. Operating income would not be considered the most directly comparable GAAP financial measure because EBIT and EBITDA make adjustments for items that are not included in operating income. In addition, these measures must not be presented on a per share basis.

Free Cash Flow

Recall that free cash flow is intended to represent the amount of cash generated by a business, after accounting for reinvestment in non-current capital assets by the company. Given its importance and frequent use by entities, it is also an area that the SEC provides certain interpretations. Refer to the following question/answer below for an overview of their interpretation.

Question 102.07

Some companies present a measure of "free cash flow," which is typically calculated as cash flows from operating activities as presented in the statement of cash flows under GAAP, less capital expenditures. Does Item 10(e)(1)(ii) of Regulation S-K prohibit this measure in documents filed with the Commission?

Answer: No. The deduction of capital expenditures from the GAAP financial measure of cash flows from operating activities would not violate the prohibitions in Item 10(e)(1)(ii). However, companies should be aware that this measure does not have a uniform definition and its title does not describe how it is calculated. Accordingly, a clear description of how this measure is calculated, as well as the necessary reconciliation, should accompany the measure where it is used. Companies should also avoid inappropriate or potentially misleading inferences about its usefulness. For example, "free cash flow" should not be used in a manner that inappropriately implies that the measure represents the residual cash flow available for discretionary expenditures, since many companies have mandatory debt service requirements or other non-discretionary expenditures that are not deducted from the measure. Also, free cash flow is a liquidity measure that must not be presented on a per share basis.

Segment Information

There are several interpretations provided by the SEC regarding segment reporting as well as non-GAAP considerations for segments. The accounting, reporting, and disclosure requirements with respect to segment reporting are prescribed by ASC Topic 280. The information included within ASC Topic 280 provides guidance to public entities on how to report certain information about operating segments in both complete sets of financial statements as well as condensed financial statements of interim periods. In general, ASC Topic 280 requires that public entities report certain information about their products and services, the geographic areas in which they operate, and their major customers. These objectives are achieved by using what is referred to as the management approach to segment reporting.

ASC Topic 280 notes that an operating segment is a component of an entity that has all of the following characteristics:

- It engages in business activities from which it may recognize revenues and incur expenses (including revenues and expenses relating to transactions with other components of the same public entity)
- Its operating results are regularly reviewed by the public entity's chief operating decision maker to make decisions about resources to be allocated to the segment and assess its performance
- Its discrete financial information is available

Within ASC Topic 280, the required disclosures are broken out between several categories to include the following:

- General Information
- Information about Profit or Loss and Assets
- Measurement
- Reconciliations
- Interim Period Information
- Restatement of Previously Reported Information

While there are significant disclosure requirements related to disclosures, one of the primary categories of disclosure relates to profit and loss. Overall, ACS Topic 280 notes that an entity should report a measure of profit or loss and total assets for each reportable segment.

Now that you have a baseline understanding of segments and some of the disclosure requirements, let's take a look at several of the SEC interpretations on the topic. Note that the last interpretation presented also addresses the topic along with considerations for constant currency.

Question 104.01

Is segment information that is presented in conformity with Accounting Standards Codification 280, pursuant to which a company may determine segment profitability on a basis that differs from the amounts in the consolidated financial statements determined in accordance with GAAP, considered to be a non-GAAP financial measure under Regulation G and Item 10(e) of Regulation S-K?

Answer: No. Non-GAAP financial measures do not include financial measures that are required to be disclosed by GAAP. Exchange Act Release No. 47226 lists "measures of profit or loss and total assets for each segment required to be disclosed in accordance with GAAP" as examples of such measures. The measure of segment profit or loss and segment total assets under Accounting Standards Codification 280 is the measure reported to the chief operating decision maker for purposes of making decisions about allocating resources to the segment and assessing its performance.

Question 104.02

Does Item 10(e)(1)(ii) of Regulation S-K prohibit the discussion in MD&A of segment information determined in conformity with Accounting Standards Codification 280?

Answer: No. Where a company includes in its MD&A a discussion of segment profitability determined consistent with Accounting Standards Codification 280, which also requires that a footnote to the company's consolidated financial statements provide a reconciliation, the company also should include in the segment discussion in the MD&A a complete discussion of the reconciling items that apply to the particular segment being discussed.

Question 104.03

Is a measure of segment profit/loss or liquidity that is not in conformity with Accounting Standards Codification 280 a non-GAAP financial measure under Regulation G and Item 10(e) of Regulation S-K?

Answer: Yes. Segment measures that are adjusted to include amounts excluded from, or to exclude amounts included in, the measure reported to the chief operating decision maker for purposes of making decisions about allocating resources to the segment and assessing its performance do not comply with Accounting Standards Codification 280. Such measures are, therefore, non-GAAP financial measures and subject to all of the provisions of Regulation G and Item 10(e) of Regulation S-K.

Question 104.04

In the footnote that reconciles the segment measures to the consolidated financial statements, a company may total the profit or loss for the individual segments as part of the Accounting Standards Codification 280 required reconciliation. Would the presentation of the total segment profit or loss measure in any context other than the Accounting Standards Codification 280 required reconciliation in the footnote be the presentation of a non-GAAP financial measure?

Answer: Yes. The presentation of the total segment profit or loss measure in any context other than the Accounting Standards Codification 280 required reconciliation in the footnote would be the presentation of a non-GAAP financial measure because it has no authoritative meaning outside of the Accounting Standards Codification 280 required reconciliation in the footnotes to the company's consolidated financial statements.

Question 104.06

Company X has operations in various foreign countries where the local currency is used to prepare the financial statements which are translated into the reporting currency under the applicable accounting standards. In preparing its MD&A, Company X will explain the reasons for changes in various financial statement captions. A portion of these changes will be attributable to changes in exchange rates between periods used for translation. Company X wants to isolate the effect of exchange rate differences and will present financial information in a constant currency — e.g., assume a constant exchange rate between periods for translation. Would such a presentation be considered a non-GAAP measure under Regulation G and Item 10(e) of Regulation S-K?

Answer: Yes. Company X may comply with the reconciliation requirements of Regulation G and Item 10(e) by presenting the historical amounts and the amounts in constant currency and describing the process for calculating the constant currency amounts and the basis of presentation.

The SEC is Watching

If you haven't gathered yet from this chapter, the SEC has heightened interest in non-GAAP financial measures and ensuring that their use is limited, where possible, and appropriate. However, even with the overall principles and interpretations outlined by the SEC, there are still plenty of entities that push the bounds and are put in the position of having to respond to an SEC comment letter.

While comment letters the past few years have been on a downward trend, the SEC has remained focused on these non-GAAP financial measures. In the article "As Comment Letters Decrease, SEC Keeps Focus on Non-GAAP Accounting" (April 9, 2020) published on Intelligize, the article notes the following:

Comment letters issued in 2019 declined 22.5% from the year before. It marked the third straight year of double-digit percentage decreases. That doesn't mean the SEC has taken a step back on all issues, however. To the contrary, it appears to have kept its focus on the use of non-GAAP financial measures.

To be sure, the number of comment letters issued on non-GAAP topics has declined, down some 19% in the last 12 months versus the year-earlier period. But comment letters related to non-GAAP measures climbed as a share of the whole in the same time frame. That suggests the agency is prioritizing that particular topic. Moreover, thorny issues like non-GAAP metrics in MD&A disclosure take on average 31 days to resolve (much longer than, say, the 22-day average for general filing comments) and receive a follow-up question from the staff more often than all but one other topic that we track (assets). Don't expect a promise to fix non-GAAP metrics in future filings to suffice under this increased scrutiny.

If you've been following along lately with the Commission's agenda, the emphasis on non-GAAP metrics won't come as a surprise. Enforcement actions show a similar focus on non-GAAP measures, for instance. And as we have flagged, a joint statement late last year from Clayton, SEC Chief Accountant Sagar Teotia and Division of Corporation Finance Director William Hinman mentioned that companies' audit committees should pay particularly close attention to alternative accounting measures: "We encourage audit committees to be actively engaged in the review and presentation of non-GAAP measures and metrics to understand how management uses them to evaluate performance," they said.

So while the volume of comments have been on a decline, the relative proportion of those comments related to non-GAAP financial measures has risen. This is supported by two of the Big 4 accountings (PwC and EY) as well. In both of their annual publications related to SEC comment letter trends, the firms note non-GAAP financial measures are the most frequent SEC comment letter topic.

In PwC's publication ("US SEC Comment Letter Trends") published on March 12, 2021, the firm notes the SEC has several focus areas as it relates to non-GAAP measures. Refer to the following Exhibit for an excerpt from this publication.

Exhibit 2-15: PwC Comment Letter Trends

Non-GAAP Financial Measures

Non-GAAP financial measures result in frequent comments regarding compliance with Item 10(e) of Regulation S-K and the related compliance and disclosure interpretations, sometimes resulting in requests to remove or substantially modify non-GAAP metrics. Focus areas have included:

- the presentation with equal or greater prominence of the most directly comparable GAAP financial measure;
- the reconciliation to the most comparable GAAP financial measure;
- the appropriateness of adjustments to eliminate or smooth items identified as non-recurring, infrequent, or unusual;
- the use of individually tailored accounting principles; and
- the disclosure of why management believes the non-GAAP presentation provides useful information to investors regarding the financial condition or results of operations of the registrant.

The key takeaway from EY's similar publication ("Highlights of trends in 2021 SEC comment letters") published September 23, 2021 are very similar. In its publication, the firm notes the following with respect to non-GAAP financial measures.

The SEC staff continues to focus on whether non-GAAP financial measures reported by registrants comply with its compliance and disclosure interpretations (C&DIs) on this topic, including whether certain performance indicators should have been identified as non-GAAP measures and whether identified non-GAAP measures are presented with the most directly comparable GAAP financial measure at the appropriate prominence level. In addition, the SEC staff has continued to challenge whether a registrant was presenting a non-GAAP measure that employs an individually tailored accounting principle that may be misleading. For example, the SEC staff recently has challenged non-GAAP measures with the word "revenue" in the title, as discussed below. Most of the SEC staff comments have focused on registrants' use of non-GAAP measures in earnings releases and SEC filings. However, the SEC staff also reviews non-GAAP measures registrants use to communicate elsewhere (e.g., on their websites, in investor presentations).

Over the last year, the SEC staff emphasized the importance to investors of revenue determined in accordance with US GAAP and said more companies are inappropriately presenting non-GAAP measures with the word "revenue" in the title. For example, presenting a measure entitled "gross revenue" before discounts or other incentives that reduce revenue under US GAAP would not be appropriate. However, the staff said a registrant could present such a measure and call it "billings" if it is consistent with amounts invoiced to customers. In that case, the non-GAAP rules wouldn't apply because the metric would be considered a key performance indicator.

As you'll note from the preceding excerpts, non-GAAP financial measures aren't going away and their importance is increasing with the regulators.

Illustrative Examples – SEC Comment Letters

In both of the firm's comment letter publications in the previous section of this course, they also provide excerpts from actual SEC comments (identifying entity information removed though). However, in this final section of this course we'll review a few actual comment letters from the SEC as well as provide the responses from the respective entity to help provide a more comprehensive appreciation of the facts and circumstances. Note that all of the information provided is publicly available on the SEC.gov website and some of the information, for presentation purposes, has been omitted.

Peloton Interactive, Inc.

The first comment letter example comes from Peloton Interactive, Inc. In this example, the entity received a comment letter from the SEC related to a Form 8-K that it filed on February 4, 2021. In response to the 8-K, the SEC noted the following:

Form 8-K Furnished on February 4, 2021

Exhibit 99.1

Key Operating Metrics and Non-GAAP Financial Measures, page 14

2. Please revise to present your GAAP financial statements prior to your reconciliations of non-GAAP measures to avoid giving undue prominence to the non-GAAP data in accordance with Item 10(e)(1)(i)(A) of Regulation S-K. We also note similar disclosures in your 10-Q filings.

Subsequent to receipt of this comment letter, the entity provided the following response to the SEC:

The Company respectfully acknowledges the Staff's comment and advises the Staff that as requested, the Company will present its GAAP financial statements prior to the Company's reconciliations of non-GAAP measures in future filings in accordance with Item 10(e)(1)(i)(A) of Regulation S-K.

In this example, which was fairly straight forward, the SEC required that the entity present its GAAP financial statements prior to the reconciliation of non-GAAP financial measures. The entity responded with an affirmative confirmation that it will do that going forward, and the SEC comment letter process ceased (for that year at least)

Monster Beverage Corp.

Sometimes the SEC comment letter process doesn't go quite as smoothly and a few rounds of back and forth may be necessary. The next comment letter example provides an example of this situation.

We have reviewed your filing and have the following comment. In our comment, we may ask you to provide us with information so we may better understand your disclosure.

Please respond to this comment within ten business days by providing the requested information or advise us as soon as possible when you will respond. If you do not believe our comment applies to your facts and circumstances, please tell us why in your response.

Form 10-K for the Year Ended December 31, 2019

Management's Discussion and Analysis of Financial Condition and Results of Operations

Non-GAAP Financial Measures, page 48

We refer to your presentation of Gross Sales and note it is not a measure recognized under GAAP. Please help us understand:

- What Gross Sales represents. For example, tell us if this amount represents: the amount invoiced to your customers, the full retail price of your products, or some other value;
- How you considered Item 10(e) of Regulation S-K and Regulation G;
- How you analyze trends in the level of Promotional and Other Allowances, aside from the amount as percentage of gross sales as disclosed in your filing; and
- How Gross Sales is useful to investors given that gross sales may not be realized in the form of cash receipts due to the allowances given to your bottlers/distributors or retail customers.

In its response back to the SEC, the entity noted the following:

Gross Sales represents the recognition of deferred revenue and amounts invoiced to customers net of cash discounts and returns. In future filings, beginning with the Company's quarterly report on Form 10-Q for the quarter ended September 30, 2020, anticipated to be filed with the Commission in November 2020, the Company will, where applicable, revise the disclosure as follows:

****Gross Sales represents the recognition of deferred revenue and amounts invoiced to customers net of cash discounts and returns.**

The Company has considered both Item 10(e) of Regulation S-K and Regulation G in the Company's presentation of Gross Sales. With respect to Item 10(e) of Regulation S-K, the Company includes: (i) a presentation, with equal or greater prominence, of Net Sales (the most directly comparable GAAP financial measure) beginning on page 44 of the Form 10-K; (ii) a reconciliation of Gross Sales with Net Sales in a table on page 50 of the Form 10-K; and (iii) a footnote on pages 49-50 of the 10-K disclosing why the Company's management believes the presentation of Gross Sales provides useful information to investors regarding the Company's financial condition and results of operations. With respect to Regulation G, the Company includes (i) a presentation of Net Sales, the most directly comparable financial measure calculated and presented in accordance with GAAP, beginning on page 44 of the Form 10-K; and (ii) a reconciliation of Gross Sales with Net Sales in a table on page 50 of the Form 10-K. The Company will continue to ensure that the Company's presentation of Gross Sales complies with all applicable provisions of Item 10(e) of Regulation S-K and Regulation G.

The Company primarily analyzes trends in Promotional and Other Allowances as a percentage of Gross Sales as disclosed on page 49 of the Form 10-K. In addition, the Company analyzes trends on a per unit case volume basis. (Unit case volume is defined on page 50 of the Form 10-K.) For each of the foregoing, the Company compares historical trends from year to year, quarter to quarter, and month to month.

Although Gross Sales may not be realized in the form of cash receipts, we believe that Gross Sales is useful to investors because, as described in the footnote on pages 49-50 of the Form 10-K, Gross Sales allows evaluation of sales performance before the effect of any promotional items, which can mask certain performance issues, such as the timing of certain promotional programs. In addition, the presentation of Gross Sales with a reconciliation to Net Sales discloses the level of promotional spend incurred by the Company. The reconciliation of Gross Sales with Net Sales in a table on page 50 of the Form 10-K provides investors with the information necessary to understand the amount of Gross Sales that will be realized in the form of cash receipts, namely Net Sales.

We appreciate the Staff's time and attention and we hope that the foregoing has been responsive to the Staff's comment. If you have any further questions or need any additional information, please feel free to contact the undersigned at (951) 739-6200 at your convenience.

The fun didn't end there. While the previous example resulted in just one back and forth with the SEC, this example resulted in further follow up from the SEC to the entity's response. Refer below for the SEC's follow up note shortly thereafter.

We have carefully considered your response to prior comment 1 and your revised disclosures that "gross sales" represent the recognition of deferred revenue and amounts invoiced to customers, net of cash discounts and returns. Based on this clarification, it appears that "gross sales" is more akin to a billings-type metric. Accordingly, please revise the title of this metric so as not to imply that it represents GAAP sales or revenue and comply with the metrics guidance set forth in SEC Release No. 33-10751. Please also clarify for us how the amount of deferred revenue included in Gross Sales is determined. In your response, please include your proposed revisions, including your discussion of this metric in MD&A.

In response to the SEC's follow up comment, the entity provided the following (*note: certain sections have been omitted for presentation purposes*)

In future filings, where applicable, the Company will revise the title of Gross Sales to "Adjusted Billings" so as not to imply that it represents GAAP sales or revenue and to comply with the metrics guidance set forth in SEC Release No. 33-10751.

The amount of deferred revenue included in Gross Sales (to be titled Adjusted Billings in future filings) represents payments received from certain bottlers/distributors at inception of their distribution contracts or at the inception of certain sales/marketing programs and are accounted for as deferred revenue. Amounts received are recognized as revenue ratably over the anticipated life of the respective distribution agreement, generally 20 years, or through completion of the sales/marketing program.

MGM Resorts International

The final comment letter example has some more back and forth between the SEC and the entity as well. This comment relates specifically to the entity's disclosure of adjusted EBITDAR as a valuation measure. Refer below for the SEC's first comment letter on the issue.

Form 10-K for the year ended December 31, 2019

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations Non-GAAP Measures, page 40

1. We understand that you use Adjusted EBITDAR as a valuation measure. Please tell us why you believe it is appropriate to present this measure on a comparable basis.

In its response back to the SEC, the entity noted the following:

The Company presents Adjusted EBITDAR on a consistent and comparable basis for all periods presented solely as a supplemental disclosure to reported GAAP measures that the Company believes is widely used as a principal basis for the valuation of gaming companies by analysts, lenders, financial institutions, investors, the Company and its peers, and because presenting Adjusted EBITDAR on a comparable basis assists such analysts, investors and others to understand changes in the Company's

value over time as evidenced by comparative Adjusted EBITDAR presentations included by analysts within certain research reports.

Adjusted EBITDAR provides useful information to analysts, lenders, financial institutions, and investors when valuing the Company, as well as comparing the Company's valuation to other gaming companies, without regard to differences in capital structure and leasing arrangements, since Adjusted EBITDAR eliminates the effects of triple net operating leases and ground leases and the capital structures of other gaming companies may or may not include triple net operating leases or ground leases. Adjusted EBITDAR is also commonly used by operating companies in other industries where there is significant variability in the way that capital assets are financed, such as airline operators and nursing home operators. Adjusted EBITDAR is an especially important valuation metric for the Company because a majority of the Company's properties are subject to triple net lease arrangements. Since the Company has financed (and may finance in the future) a significant majority of its real estate through triple net leases, investors and analysts value the Company's enterprise by utilizing a multiple which is applied to the estimated rental payments specific to the Company's triple net leases with its landlords, which is then added to the Company's net debt and market capitalization. The sum is then divided by Adjusted EBITDAR to arrive at the Company's enterprise value multiple.

Disclosing Adjusted EBITDAR on a consistent and comparable basis for all periods presented serves an important purpose in helping investors and analysts value the Company's present business, which importantly includes understanding the changes in the Company's value over time in much the same way that presenting comparative balance sheets allow investors and analysts to understand changes in the Company's financial position over time. To provide further management discussion and analysis around the changes in what constitutes Adjusted EBITDAR, the Company discloses and analyzes the changes in the underlying Adjusted Property EBITDAR (the Company's primary profit measure for its reportable segments) which aggregate to the consolidated Adjusted EBITDAR and reconciles such amounts to net income for all periods presented.

Like the previous example, the SEC provided a follow up comment to the entity's initial response. Refer below for the SEC's follow up note shortly thereafter.

We note your presentation of Adjusted EBITDAR and that management uses Adjusted Property EBITDAR as the primary profit measure for your reportable segments. Please note the presentation of the total segment profit or loss measure in any context other than the ASC 280 required reconciliation in the footnote is considered a presentation of a non-GAAP financial measure. In future filings, please revise your presentation accordingly. Refer to Question 104.04 of the Compliance & Disclosure Interpretations for Non-GAAP Financial Measures.

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